

ANNUAL REPORT 2007



Company Profile

Where we came from

Equity Trustees Limited was established as a trustee and executor service provider by a special act of the Victorian Parliament in 1888. We are a publicly listed company on the Australian Stock Exchange.

What we do

We are a financial services institution offering a comprehensive range of financial products and services aimed at growing, managing and protecting wealth.

Our specialist services include providing estate management services, trustee services, legal, financial and taxation advice, personal investment advice – including superannuation – and responsible entity services for external fund managers.

We assist not-for-profit and charitable organisations with their services and financial product needs and offer philanthropy advice to families and individuals seeking to establish charitable trusts.

Where we're headed

We have come a long way in 119 years from our origins as a trustee company. Today we are a dynamic financial services institution, and will continue to grow the breadth and quality of the products and services we offer.



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Group Financial Highlights

“With earnings and profit growth exceeding 50%, this was a landmark year for Equity Trustees.”

– Peter Williams, Managing Director

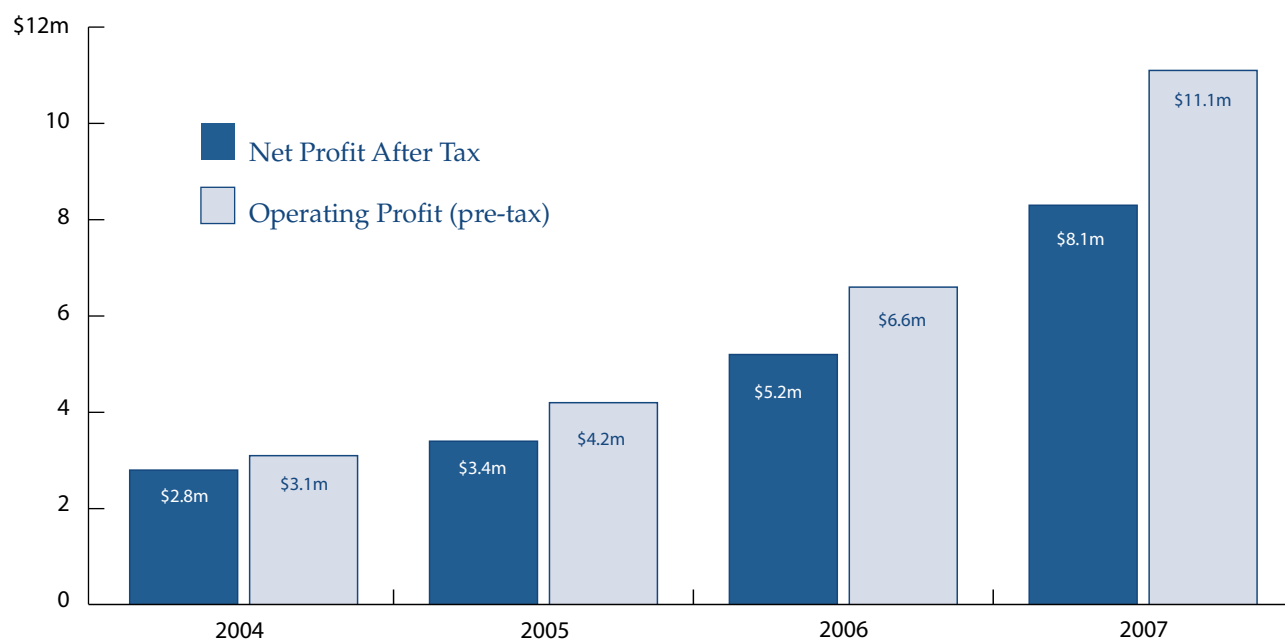
Group Financial Highlights		
Measure	2007	vs 2006
Group Operating Revenue ¹	\$32.4m	↑ 30.8%
Group Operating Profit (pre-tax) ¹	\$11.1m	↑ 67.7%
Group Operating Profit (post-tax) ¹	\$7.7m	↑ 61.3%
Net profit after tax	\$8.1m	↑ 58.0%
Earnings per share (basic)	105.18¢	↑ 50.4%
Dividend per share (fully-franked) ²	75¢	↑ 50.0%
Operating margin ³	34.3%	↑ 28.0%

¹ Excludes profit / loss on the sale of investments.
² Reflects full-year dividend paid (in cents per share).
³ Operating margin is pre-tax and excludes profit / loss on the sale of investments.

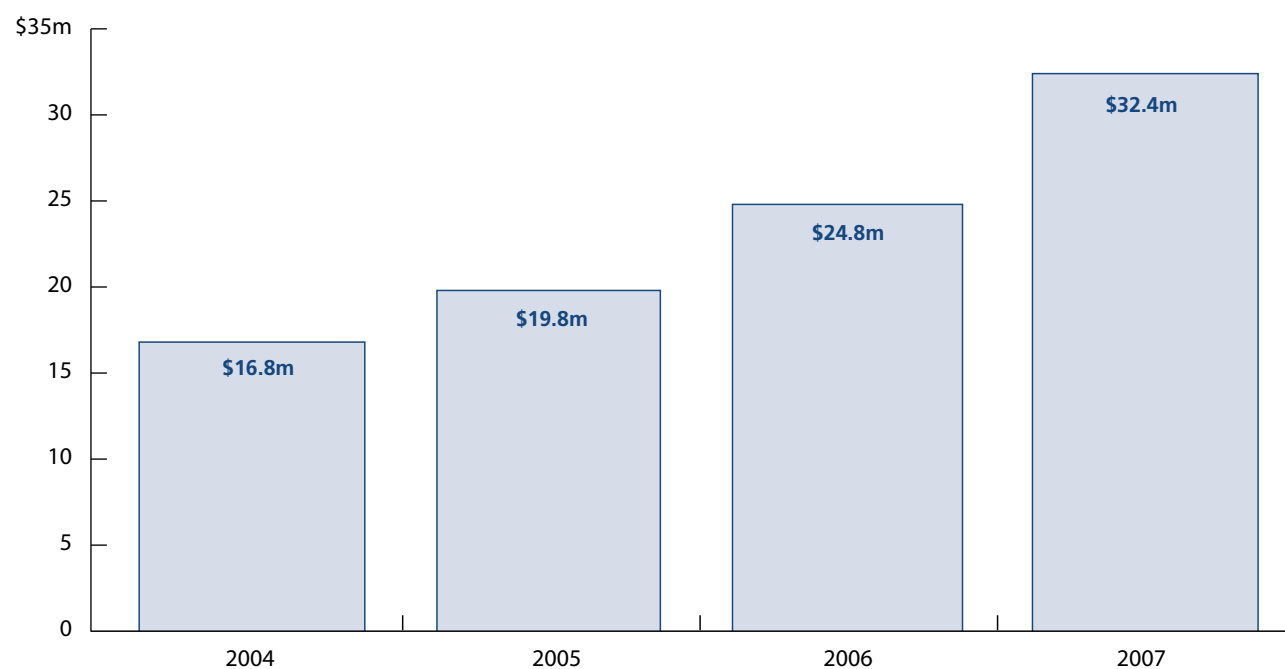


Group Financial Highlights (cont'd)

Profitability (\$m)

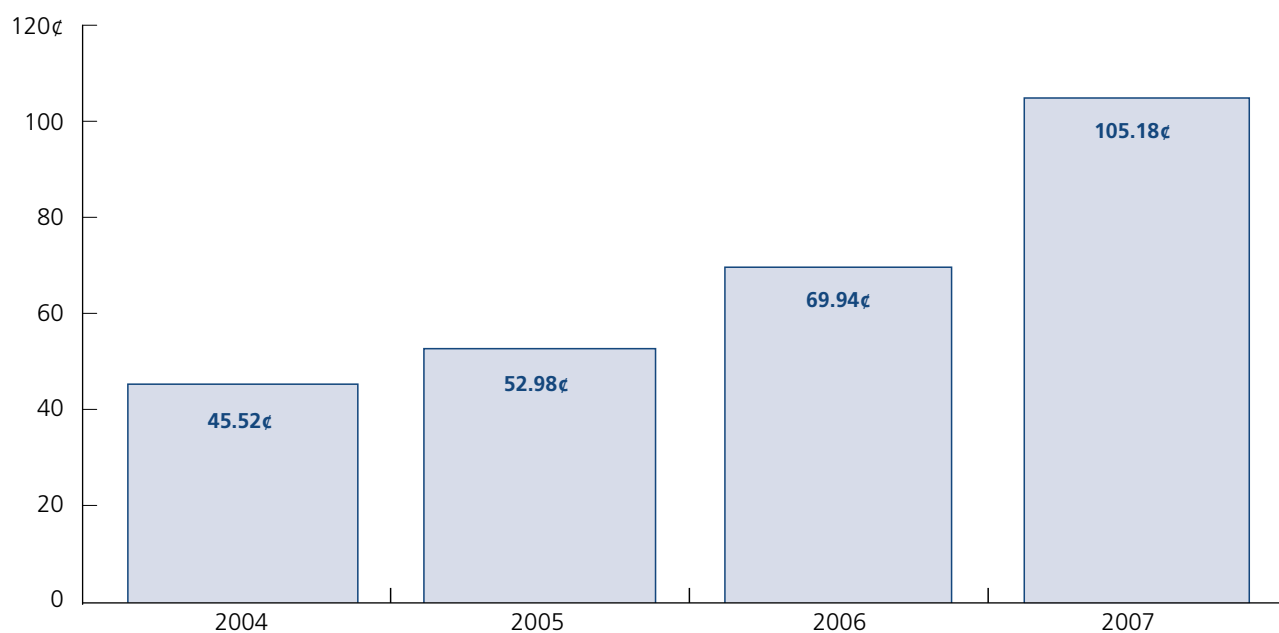


Operating revenue (\$m)

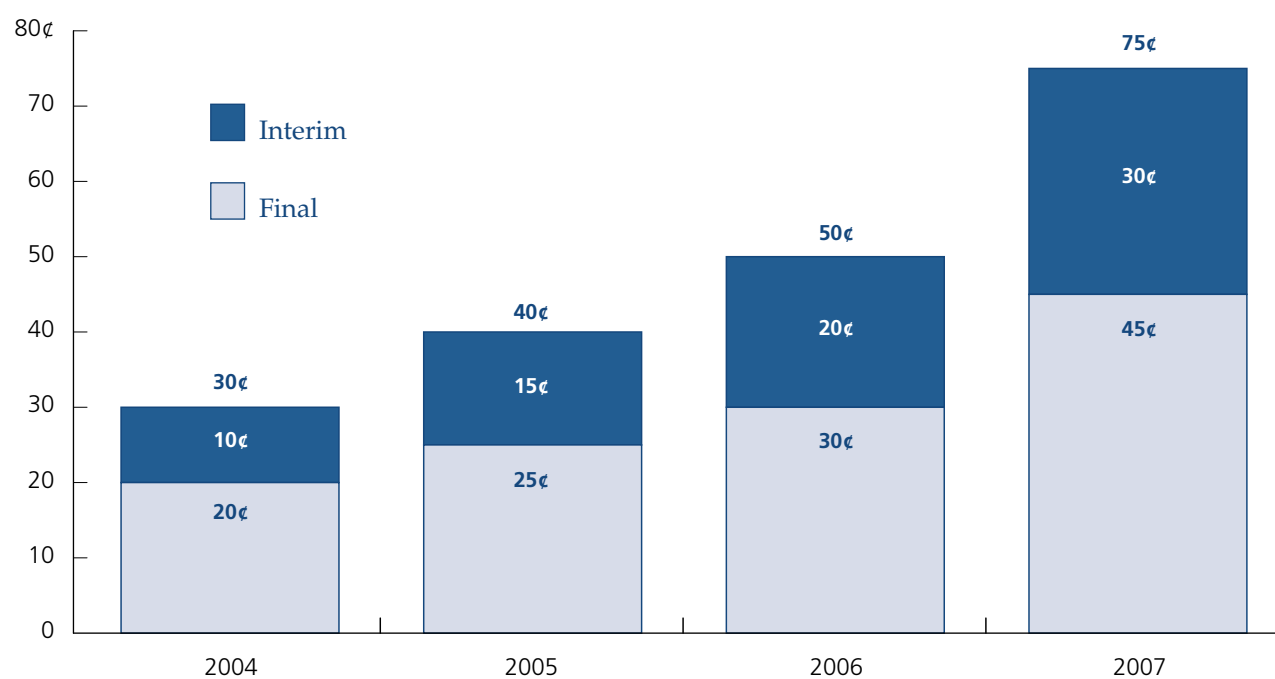


Group Financial Highlights (cont'd)

Earnings per share ¢



Dividend per share ¢





Chairman's Report

"The strong revenue increases and record profitability achieved during 2006/07 generated outstanding returns for all stakeholders."

– Tony Killen, Chairman



Tony Killen

In the 2006/07 financial year, Equity Trustees Limited exceeded expectations and generated outstanding returns for stakeholders.

Each of our business units recorded a strong year-on-year revenue increase. Expenses were well controlled. Resultant profits were at record levels.

Dividends for the year were 50% higher than last year. Total shareholder return for the year (share price growth plus dividends reinvested) was 71.8%.

The Company aims to continue to grow strongly and is well placed to do so. Ongoing investment in staff and systems has provided a robust platform for future growth, both organic and by merger and acquisition.

Chairman's Report (cont'd)

Financial overview

The key financial achievements in the 2006/07 financial year were:

- the business grew strongly – operating revenue increased by 30.8% to \$32.4m⁴
- margins continued to expand - operating margin increased by 28.0% to 34.3%⁵
- thus profits grew more strongly again:
 - pre-tax operating profit increased by 67.7% to \$11.1m
 - net profit after tax increased by 58.0% to \$8.1m

These were all record results for the company.

⁴ Excludes profit on the sale of investments.

⁵ Pre-tax, excluding profit on the sale of investments.

Returns to shareholders

Returns to shareholders were also at record levels.

Earnings per share increased by 50.4% to 105.18cps.

The company's current policy is to pay 60–80% of operating profit after tax (excluding gains on the sale of investments) as dividends, and dividends for the latest year were struck at the top end of this range.

An interim dividend of 30cps was paid in respect of the first half result. In respect of the second half result your board has declared a final dividend of 45cps.

Thus the total dividend for the year was 75cps, an increase of 25cps or 50% over the previous year's payments of 50cps.

All dividends are fully-franked.

Capital management

Equity Trustees maintains a conservative approach to its use of capital. Our goal is to ensure that our capital reserves are sufficient to meet all regulatory requirements, to facilitate the day to day operation of the business and to help fund growth opportunities.

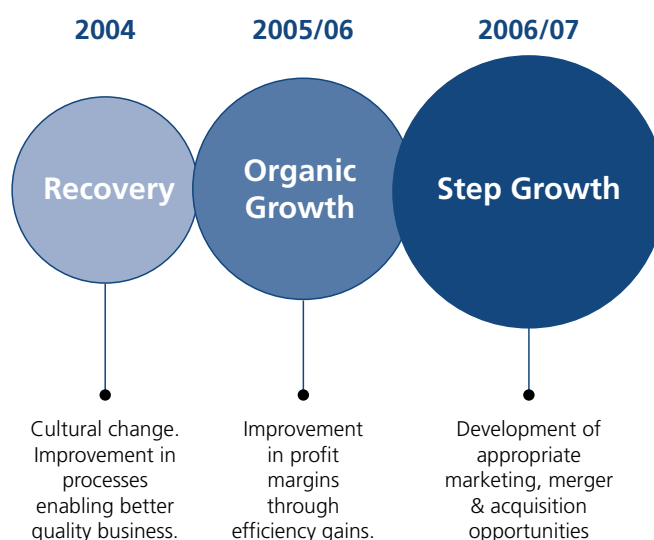
As at 30 June 2007 the company has net assets of \$44.4m, up 22.2% over the 2006 figure of \$36.4m. Our investment portfolio reflects unrealised gains (net of tax) of \$4.2m (vs \$3.4m in 2006).

These reserves place the company in a sound position in respect of our growth aspirations. Nevertheless the Board remains committed to a responsible approach to our acquisition strategy, pursuing only those opportunities that are judged to be in the interests of all stakeholders.

The company's balance of franking credits at 30 June 2007 was \$5.8m, which compares with \$4.3m one year earlier (an increase of 36.7%). Based upon this balance, the Board expects to be able to fully frank dividend payments for the foreseeable future.

Growth strategy

Equity Trustees' recent growth has been underpinned by a strategy developed by the Board in conjunction with the senior management of the company.



It is envisaged that the "step growth" phase will be a key driver of the company's future. As part of this development we have an in-house capability dedicated to uncovering, evaluating and integrating merger and acquisition opportunities.

Chairman's Report (cont'd)

In 2006/07 the company acquired the rights to the Freedom of Choice superannuation master-trust and IDPS from Australian Unity Funds Management Limited. The acquisition, which is presently being integrated into Equity Trustees, is anticipated to be EPS positive in 2007/08 and will greatly expand the company's offering in the superannuation market.

We are also in the process of assessing other opportunities related to our superannuation business unit. These, and any other activity, will be reported to shareholders upon any agreements being completed.

Part of our "step growth" phase also involves an expansion of the company's overall marketing efforts. Over recent years we have selectively added to our people resources with staff who are capable of expanding our reach into existing and new markets.

Equity Trustees Superannuation Limited

In February 2007 Equity Trustees announced the re-branding of our superannuation business, acquired in 2003. The business, formerly known as Wealthpac Australia Limited, is now named Equity Trustees Superannuation Limited (ETSL).

ETSL continues to manage the Wealthpac superannuation master-trust, as well as the more recently acquired Templetons superannuation master-trust and Freedom of Choice.

The business continues to be based in North Sydney under the leadership of ETSL Managing Director, Adrian Young. Wealthpac Australia Limited's founder Rob Dillon, continues his association with the business as non-executive Chairman of the ETSL Board.

120 year celebration

In March 2008 Equity Trustees will celebrate its 120th anniversary. This is a substantial milestone for the company and it is interesting to reflect upon the changes that have taken place since our founding in 1888.

All stakeholders should be proud of the evolution of the company to our current position as a provider of sophisticated financial services to a broad range of clients.

Retirement of Mr Philip Molyneux AM as Chairman

On behalf of all Directors, staff and shareholders of Equity Trustees I would like to thank our previous Chairman, Mr Philip Molyneux AM, who retired from the Board on 30 August 2007.

Philip was a member of the Board of Equity Trustees for 15 years and served as the company's Chairman from January 2003 until his retirement. Under his leadership Equity Trustees achieved a strong turnaround and improvement in performance.

We will miss Philip's counsel and guidance and we wish him well in his well-earned retirement.

It is an honour to succeed Philip as Chairman and I look forward to continuing to serve our shareholders as a member of the Board.

Appointment of new Board member

I am delighted to confirm that Ms Alice Williams has been appointed to the Board as a non-executive Director. Alice's appointment was effective from 5 September 2007.

Alice has extensive experience in the financial services sector, having previously served as Director of State Trustees Limited in addition to senior management positions with a number of Australian and international investment banks including NM Rothschild and Sons (Australia) Limited, JP Morgan Australia, Hong Kong Bank of Australia Limited and Citibank (NA).

In addition to a number of other current directorships, Alice undertakes a variety of consulting roles to corporate, Government and not-for-profit organisations specialising in strategic and business planning, debt restructuring, equity raising and corporate governance.

We welcome Alice to the Board.



JA (Tony) Killen
Chairman

Towards our 120th Anniversary Year

Before Joel Fox could open the doors of Equity Trustees in 1888, it took an act of the Victorian Parliament. This act aimed to "remove much of the uncertainty and insecurity" surrounding the services of trustee and executor.

Joel Fox was the driving force behind the group of prominent businessmen who began Equity Trustees nearly 120 years ago. From modest revenue of £38 in our first year – and just two employees – we grew to a staff of 90 with a thousand times more revenue by the time Mr Fox retired in 1933.

Today, Equity Trustees has revenue of \$32 million and over \$400 million in charitable trust moneys under management. Significantly, the qualities that set us apart have remained largely unchanged. Our astute, prudent approach to building wealth has helped us grow through two World Wars and The Great Depression, then to prosper during the boom times of the sixties as well as Australia's recent decade of economic ascendancy.

Directed by some leading Australians

Since the early 20th century, Equity Trustees has continued to be a magnet for some of Australia's most outstanding individuals – as company directors and clients.

Sir Robert Menzies

Before he became Australia's longest-serving Prime Minister, Sir Robert Menzies was a Director of Equity Trustees from 1936 to 1939. This role was a precursor to Sir Robert's lifelong contribution to the development of science, education, the arts and humanities in Australia.



Sir William Angliss

The pioneer of Australian meat exports, Sir William Angliss was one of the nation's most prominent business leaders of the mid-20th century. A man of humble origins, Sir William contributed greatly to Australian society through his support of migrant children and the Salvation Army. He was a director of Equity Trustees from 1943 to 1955.



We help fine Australians realise their dreams

Jimmy Richardson

Jimmy Richardson arrived in Melbourne from Scotland with just £20. When he died at 87, his estate was worth £1 million. His vast liquor organisation made him rich, yet Jimmy lived frugally in a simple room in Richardson's Hotel on the corner of Bourke and Russell Streets. Jimmy Richardson instructed Equity Trustees to contribute large portions of his estate to churches, schools and charities – anonymously.



Sir Colin MacKenzie

In 1934, Sir Colin MacKenzie established what is today the Healesville Sanctuary. After his wife passed away in 1972, the Sir Colin and Lady Winifred MacKenzie Trust Fund was established. Managed by Equity Trustees, it continues to invest in the scientific knowledge of Australia's native fauna at the sanctuary.



Harry Lyon Moss

Harry Lyon Moss established a perpetual trust with Equity Trustees so we would invest the £1 million he left in his Will to assist Melbourne's Royal Children's Hospital. Since 1960, Harry's lasting gift has contributed over \$30 million to the hospital.



Not all the fine Australians we help are millionaires. What they do have in common is a desire to build their wealth responsibly – and to use that wealth in the same way to help others in their family or the community.





Managing Director's Report

"Our best-ever revenue and profitability result is underpinned by the initial implementation of our new Step Growth strategy."

– Peter Williams, Managing Director



Peter Williams

I am delighted to be able to deliver shareholders another year of record financial performance underpinned by a consistent level of strength across all parts of the company.

Several months before the 2006/07 financial year began our Board and senior management met to evaluate and refine the company's strategic direction. We set ourselves a number of challenges that were designed to consolidate the gains made in 2005/06 while further reinforcing the foundation that we have established for the future growth of the company.

These challenges included:

- revenue growth from all business units
- margin growth, incorporating appropriate cost controls
- appropriate acquisitions – delivering returns to stakeholders
- a renewed focus on sales and marketing – pushing further into existing markets and opening up new markets
- a continued focus on the development of our people.

The results achieved in 2006/07 confirm the ability of our management and all staff to work towards and achieve aggressive growth targets.

Managing Director's Report (cont'd)

Revenue and profit growth

Operating revenue up 30.8% to \$32.4m

Our operating revenue for the financial year to 30 June 2007 (excluding gains on the sale of investments) was \$32.4m, an increase of 30.8% over that achieved in the preceding year.

While investment markets have generally been favourable, the diversity of our business combined with a commitment to increasing our presence, in all markets in which we participate, has contributed to this strong growth.

All of our business units recorded strong increases in revenue reflecting an even contribution across the company and the ongoing success of the strategy implemented in 2003.

Operating profit up 67.7% to \$11.1m

Our strong revenue growth and responsible approach to costs enabled us to achieve Group Operating Profit (excluding profit on the sale of investments) of \$11.1m (\$6.6m in 2006), an increase of 67.7%.

Net profit after tax up 58.0% to \$8.1m

Net profit after tax was \$8.1m, an increase of 58.0% on the result recorded in 2006 (\$5.2m). This figure includes profit on the sale of investments, which was up relatively modestly on the preceding year. It should be noted that our focus remains very much on the operational performance of the company and we deliberately report investment profit (a non-operational measure) as a separate item so as to enable us to track the underlying performance of the company.

Operating margin

Operating margin up to 34.3%

Our operating margin of 34.3% compares very favourably with the 2006 figure (26.8%) and the 2005 figure (21.2%)

We pay very careful attention to this measure as it reflects the efficiency with which we are running our business. It is a credit to all Equity Trustees' staff that the business has grown at such a strong rate yet with a very responsible approach to cost control.

Merger and acquisition programme

Our Chairman has already made mention of a key acquisition during 2006/07 – that being the rights to the Freedom of Choice superannuation master-trust and IDPS. This is a substantial acquisition for our business, which enhances our superannuation offering and reflects our ability to identify an appropriate business and to integrate it successfully into our existing operations. As part of the transaction, nine staff will be transferring to our office in Melbourne.

As part of our "Step Growth" strategy our in-house team is continually assessing external growth opportunities. We work to a very clear set of guidelines in terms of our assessments:

- we do not intend to seek acquisitions that are not consistent with our existing business lines
- we must foresee synergies with our business and be able to evaluate the return to be generated from the business and over what timeframe
- aside from the return, we must consider the acquisition to be in the interests of shareholders.

These guidelines have been established to enable us to grow our business in an organised and logical manner, with a focus on longer term value generation. Naturally we will keep all shareholders informed of further merger or acquisition developments.

Managing Director's Report (cont'd)

Sales and client service focus

Our ability to market ourselves to a broader audience has been a key focus of Equity Trustees' strategic plan. This has involved providing greater resources to our front-line marketing staff for the development of sales, client service and promotional activities – including direct marketing materials and the organisation of events.

The Equity Trustees Not-For-Profit CEO Awards is now in its sixth year and remains a highlight of our events calendar. As well as recognising leaders in the philanthropic sector, the event assists in promoting Equity Trustees' services to this community. In the year under review trusts under our management will distribute approximately \$24m to charitable causes.

We will also continue to be active with a number of relevant sponsorship activities.

In addition to the above, a key element of our sales, service & marketing focus is our people. We have made a significant investment in hiring professional sales and service people across all of our business units. These individuals are responsible for our push into new markets as well as consolidating and enhancing our position in existing markets. The benefit of this investment is continually measured against improvements in revenue to ensure effectiveness.

While we have individuals who are directly responsible for our sales and service programme, all staff are aware of the contribution that they can make to the growth of our revenue base.

Interstate offices

While Equity Trustees' head-office has been in Melbourne since our establishment in 1888, we have now successfully expanded our operations into New South Wales and Queensland.

Our Sydney office, based in North Sydney, was established with the acquisition of Wealthpac Australia Limited (now Equity Trustees Superannuation Limited) in 2003. This office is the base for our superannuation business as well as our NSW-based funds management staff.

In late 2006 Equity Trustees opened its first office in Brisbane. Under the guidance of a newly appointed manager, this office is responsible for the growth of Equity Trustees' services into Queensland. This is an exciting development and one which reflects the strength and outward looking focus that has become part of our culture.

People focus

One of the cornerstones of the company's recent growth is the quality of our staff. Our management team has been stable since 2003 and we have focused heavily on developing the next generation of leadership within the company. I am very proud of the dedication and achievements of all of our staff members and I thank them for their contribution and energy.

An indication of the quality of our staff can be identified by an analysis of our staff numbers. Naturally, in a growing business, staff numbers have increased, however I am pleased to say that, while operating revenue has grown by 63.6% since 2004/05, staff numbers have grown by 19.3% over the same period.

This is an indication that our staff are working more productively and that recent innovations, such as the introduction of a company-wide information technology system, have proved beneficial.

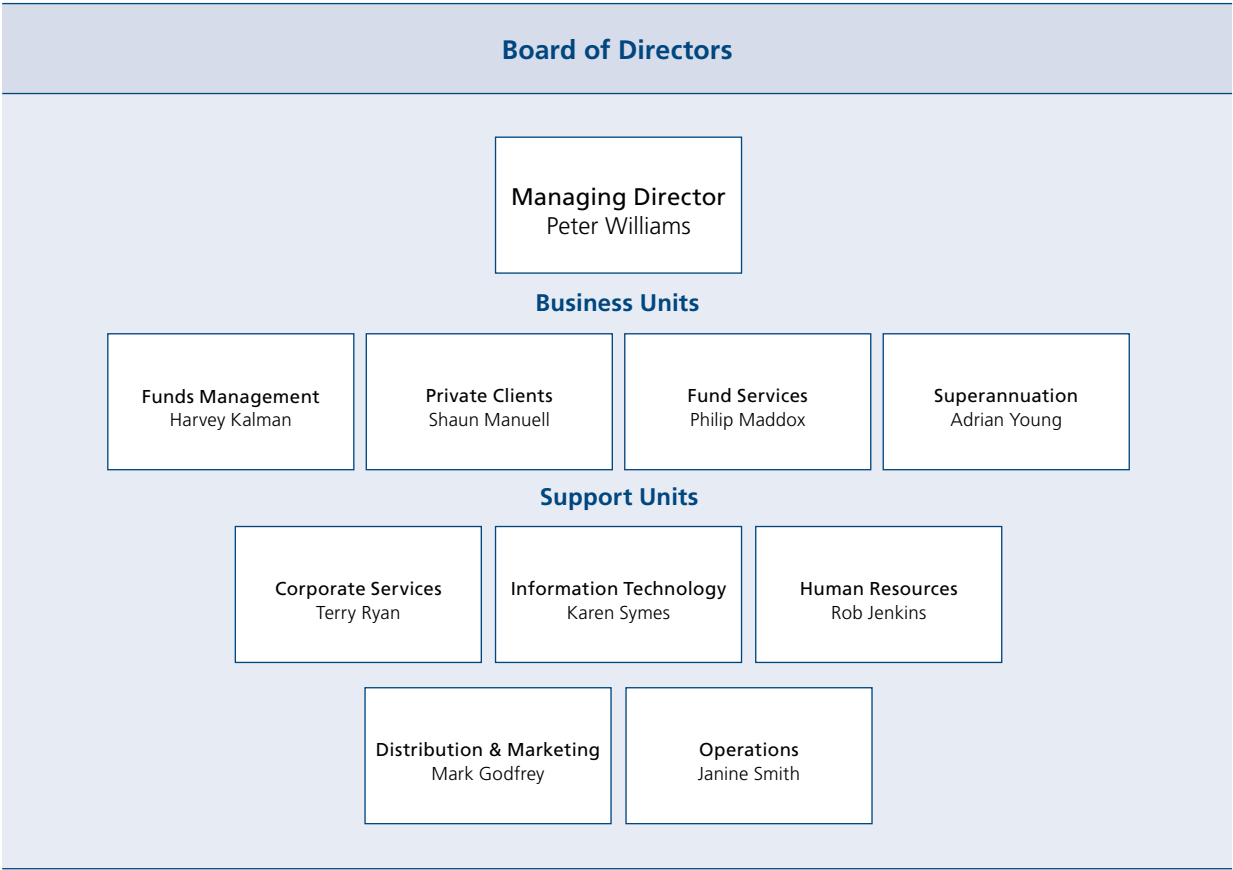
In a competitive environment the challenge of attracting and retaining quality staff is as great as ever. Our goal is to make Equity Trustees an employer of opportunity. The results of our annual employee survey indicate that we are progressing well in this regard.

In addition to this we have implemented a remuneration structure that is aimed at rewarding staff for the achievements of the company as well as their own personal performance against pre-determined targets.

Managing Director's Report (cont'd)

Organisational structure

Our structure is based upon four business units (revenue generators) and a series of support units.



Managing Director's Report (cont'd)

Business unit performance

Funds Management

	2006/07	Variance to prior financial year
Operating Revenue	\$9.0m	Up 20.5%
Funds under management	\$2,002m	Up 41.6%

Our funds management model has evolved through alliances with several leading international and domestic investment managers – including PIMCO, SG Hiscock & Company, LaSalle Investment Management, Lehman Brothers (formerly Grange Asset Management), Intrinsic Value Investments (IVI) and MIR Investment Management. Aside from our Responsible Entity role, Equity Trustees also undertakes the sales, marketing and product management roles for selected managers where we are the Responsible Entity.

We are very pleased to see the strong growth in funds under management. This is a reflection of several years' hard work by our business development team in ensuring that our funds are represented on platforms and approved product lists. We have also seen strong growth in appropriate funds invested through our Private Client business unit.

Revenue growth is strong. It tends to lag the growth in funds and it also reflects the margin pressure apparent in the platform market.

Private Clients

	2006/07	Variance to prior financial year
Operating Revenue	\$9.3m	Up 54.2%
Assets under management	\$1,490m	Up 10.6%

Our Private Client business unit operates in a number of mature markets including the company's traditional services of trust and estate management, wills and philanthropy. In more recent years these services have been complemented by a wealth management service ("Portfolio Manager"), which is supported by in-house asset management professionals providing bespoke investment advice to our clients. We also have a team of specialists who assist our clients with their taxation requirements.

Private Clients recorded very strong revenue growth in 2006/07, assisted in part by a change to the legislation governing the manner in which fees are levied.

Our charitable trust team has established an extremely good service offering that provides solutions for philanthropists of all persuasions. Further detail on the EQT Foundation is provided elsewhere in this report.

We also saw strong growth from our estates, trusts and tax teams, all of which have worked very hard in recent years to improve service standards. Growth in our wealth management service was more modest however this team has invested significant energy in its marketing programme and this will be the basis of activity in 2007/08 and beyond.

Managing Director's Report (cont'd)

Fund Services

	2006/07	Variance to prior financial year
Operating Revenue	\$7.7m	Up 37.8%
Funds under administration	\$13,845m	Up 24.9%

Fund Services incorporates our Responsible Entity (RE) appointments, as well as Corporate Trusts and Registrable Superannuation Entity (RSE) appointments for superannuation funds.

This is a highly specialised service requiring expertise in the areas of law, superannuation, compliance and risk management. Although we operate with a relatively small team, their combined skill and experience makes Equity Trustees one of the leading players in this market.

Much of the growth in this business unit comes from an increase in RE appointments. Equity Trustees now acts as RE for more than 30 investment managers offering over 100 funds. Increasingly demand for our services is coming from global managers seeking to establish or increase their presence in the Australian market.

To ensure that we have sufficient scale for future growth, we added resources to this team during 2007. These resources will also assist in an expansion in Corporate Trust and RSE appointments.

Superannuation

	2006/07	Variance to prior financial year
Operating Revenue	\$5.3m	Up 18.5%
Funds under management	\$635m	Up 58.8%

Our superannuation business unit, Equity Trustees Superannuation Limited (ETSL), performed strongly in 2006/07 under the guidance of new Managing Director, Adrian Young. As our Chairman has pointed out, the previous Managing Director, Rob Dillon, now sits as non-executive Chairman on the ETSL Board and his ongoing contribution is greatly valued.

Market conditions generally remain favourable for superannuation, boosted in the financial year by changes to legislation announced by the Federal Government in the 2006 budget.

ETSL responded well to these changes and continues to offer a high level of service to its growing member base. The business also invested in its sales & marketing capability during the year in anticipation of the integration of the Freedom of Choice master-trust, providing a strong foundation for future revenue growth.

The above revenue figures reflect growth in the Wealthpac and Templeton master-trusts only, with the Freedom of Choice master-trust to be transitioned during 2007/08. Unlike Wealthpac, which is a 'fund of funds' model offered directly to employers, Freedom of Choice is a discretionary master trust which is distributed through intermediary channels. This considerably broadens the scope and reach of this business.

Support unit performance

Our support units continue to provide high levels of service to the business units. All of our support units work across the company, meaning that their services are offered to all business units as required.

Information Technology and Operations are both benefiting from the new company-wide system progressively introduced during 2005 and 2006. The main improvements seen are in the efficiency and accuracy of our services and members of both teams are working hard to improve the system's operation in the pursuit of further gains.

Both of these teams work "behind the scenes" and are rarely seen by our clients. Without their efforts the high standards of service that we offer would not be possible.

Our Corporate Services team is responsible for the critical finance and investment accounting operations of our business. This team has enjoyed a more settled year in comparison with the frenzied activity of last year when new A-IFRS accounting standards were introduced. As Equity Trustees grows, we become more reliant upon this team to provide us with timely and accurate information and they consistently meet the standards required of them.

Managing Director's Report (cont'd)

Our Distribution & Marketing team has co-ordinated our lift in marketing activity last year in support of our sales teams. Our marketing services are now beginning to focus on more value-added activities including better utilisation of our website and the introduction of electronic communications. A series of seminars designed for our Private Clients has proved extremely informative and popular and are now a regular monthly feature on our calendar.

Lastly, the Human Resources team enjoyed an especially busy and rewarding year ensuring that our "people policy" was communicated and understood by all staff. Our staff are a critical component of our results to date and will remain so if we are to maintain the level of performance seen in 2006/07.

Our future

We have every reason to look forward to 2007/08 and beyond. Our business remains on a solid footing and each business unit has a plan in place to maintain and extend levels of organic growth.

The nature of our business is such that significant shifts in investment markets may impact performance. However our strategy is based upon a diversification in revenue streams. Hence we are confident in our ability to tackle any challenge that the markets may present to us.

Part of our planning for the future has involved a strategic investment in our staffing resources. The quality of our people, and their continued drive and enthusiasm will also assist in the achievement of higher levels of performance.

As our Chairman has also pointed out, we remain committed to growth through an aggressive acquisition strategy. Such activity will be carefully planned and executed in the knowledge that we have the resources, both in terms of capital and people, to act when appropriate opportunities present themselves.

Thank you

My gratitude is extended to our Board of Directors whose enthusiasm and leadership continues to provide direction for all Equity Trustees' staff.

I also join our Chairman in thanking Philip Molyneux for his contribution as non-executive Director and Chairman over the last 15 years and in welcoming Alice Williams to our Board as non-executive Director.

I am greatly appreciative of our management team and all staff members for their commitment to making Equity Trustees successful. All should be proud of a job well done in 2006/07 and should be looking forward to an exciting future.

All of our clients and strategic partners place high expectations upon us and drive us to achieve. I thank them for their support and encouragement.

Lastly, I thank our shareholders, many of whom I have the opportunity of meeting and communicating with on a regular basis. Those who are long term investors will have seen some less favourable times for the company and I trust that results such as those achieved in 2006/07 are very rewarding.



Peter Williams
Managing Director

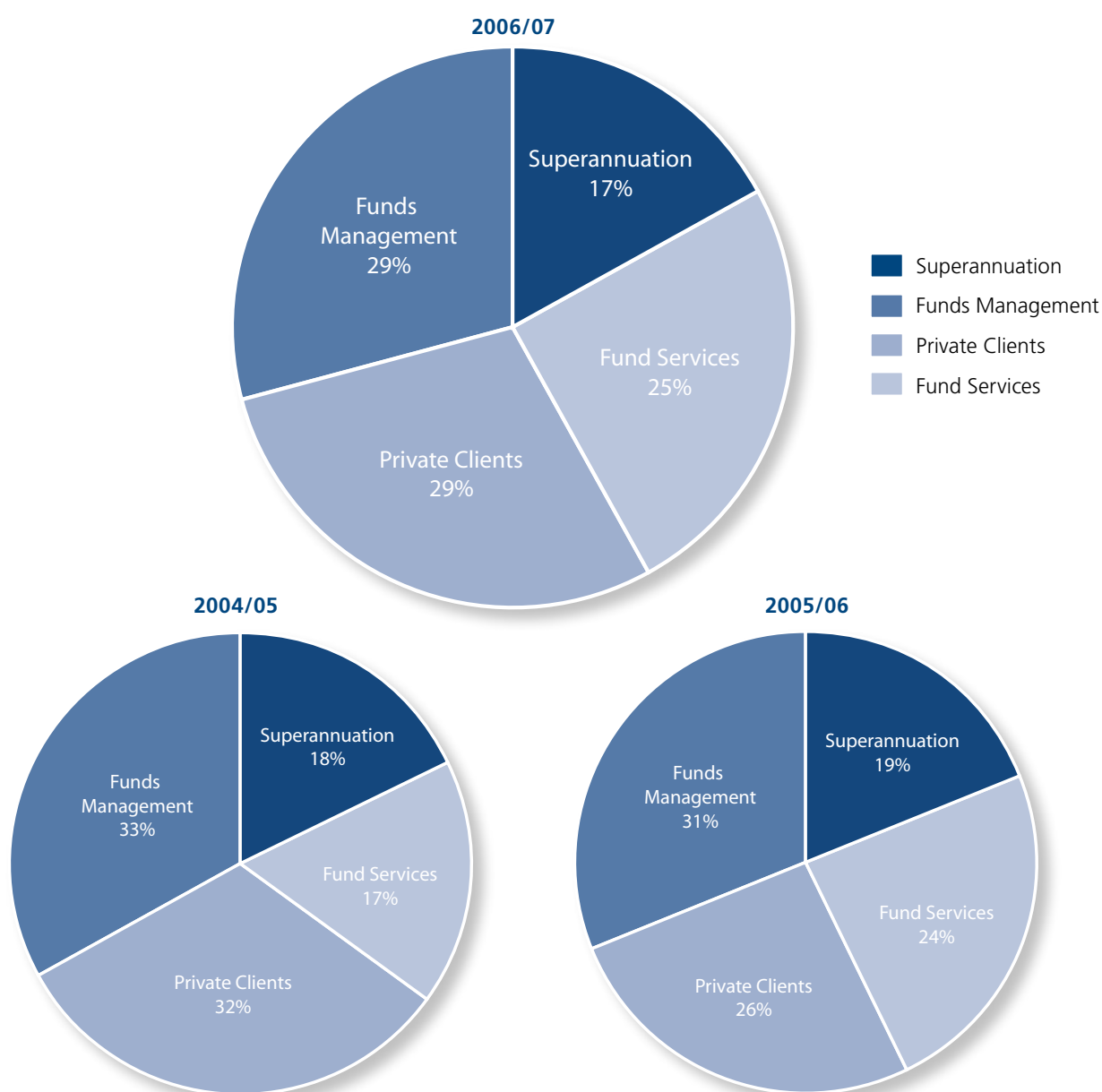


Business Unit Review

“Every business unit of Equity Trustees achieved record revenue in 2006/07”

– Peter Williams, Managing Director

Share of operating revenue



Business Unit Review (cont'd)

Funds Management



Head: Harvey Kalman

Function: Management and coordination of the distribution and marketing for Equity Trustees co-branded retail and wholesale funds managed by external specialist investment managers. Operational compliance in managing the RE business.

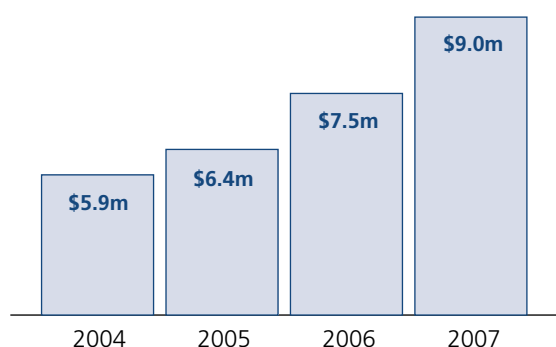
Performance:

Growth in operating revenue (2006/07): + 20.5%

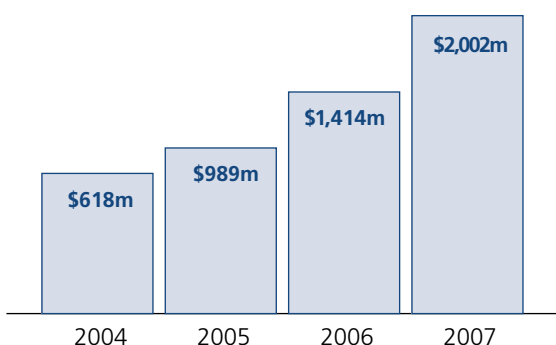
Growth in funds under management (2006/07): + 41.6%

Contribution to company operating revenue (2006/07): 29%

Operating revenue (\$m)



Funds under management (\$m)



2006/07 Operational highlights: Growth in funds under management was particularly strong during the year, with net inflows in excess of \$500m – the highest level ever recorded by our Funds Management business unit. Our growth in revenue reflected this funds growth.

Net inflows were strongest in the EQT SGH LaSalle Global Listed Property Securities Trust, the EQT SGH Absolute Return Trust, the EQT Intrinsic Value International Sharemarkets Fund, and across our income focused funds managed by PIMCO and Grange Asset Management (now Lehman Brothers).

Aside from funds inflow, the strength of our product can be judged through external assessment. EQT co-branded funds were rated the best performing in their asset class by Morningstar for the 2006/07 financial year in no fewer than five out of nine asset classes.*

*Based on Morningstar performance data released on 13 July 2007.

Our overall performance is reflective of our associations with leading global and domestic investment managers. Our strategy enables us to work just as effectively with a multinational such as PIMCO as a domestic boutique like SG Hiscock & Co.

The future: We continue to make in-roads into the platform market through the efforts of our business development team supported by our marketing resources. We now have a resource base in New South Wales and will soon be complementing this with a Queensland presence, providing us with more effective coverage of our key clients.

Investment markets will always pose challenges for investors. However the strength of our alliances with leading managers remains the cornerstone of our business. We offer EQT co-branded funds across a wide range of asset classes, providing a diversified base from which to attract investors irrespective of market conditions.

Manager	Investment class
PIMCO Australia	Fixed interest – domestic and international
SG Hiscock & Company	Australian equities, listed property
LaSalle Investment Management	Global property
Lehman Brothers (Grange)	High yield income
Intrinsic Value Investments (IVI)	International equities
Marvin & Palmer (new)	International equities
MIR Investment Management	Australian equities (geared)

Business Unit Review (cont'd)

Private Clients



Head: Shaun Manuell

Function: The provision of personal asset management services – including wealth management, trust management, estate planning, executorial, taxation and philanthropic services. The team is supported by an in-house asset management team providing investment advice to all private clients.

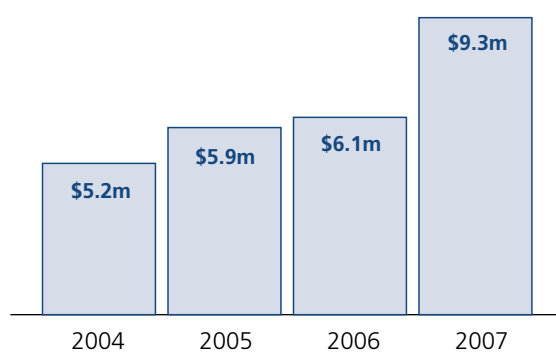
Performance:

Growth in operating revenue (2006/07): + 54.2%

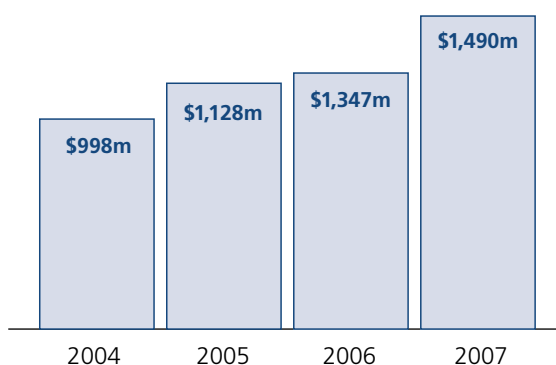
Growth in funds under management (2006/07): + 10.6%

Contribution to company operating revenue (2006/07): 29%

Operating revenue (\$m)



Assets under management (\$m)



2006/07 Operational highlights: A record year for revenue supported by a legislative change in respect of the pricing of trusts but also reflecting strong progress in all other business lines. This excellent result was a fitting reward for the efforts of the Private Client team over this and recent years.

Our “traditional” services – trusts, estates and philanthropy all returned strong levels of organic growth. This is a reflection of the hard work undertaken in recent years to enhance our service offering. The people involved are to be congratulated on their success.

The introduction of a “middle-office” support team has also assisted greatly in improving the efficiency of our service to clients. This team has eagerly embraced the new technology platform and is using it very effectively.

Equity Trustees has again been called upon for some high profile and sometimes complex trust and estate matters. It is gratifying that our skills and expertise repeatedly come to the fore in our ability to deliver service to our clients.

Our clients and beneficiaries were the recipients of another year of strong investment returns, a combination of sound advice from our in-house asset management team complementing strong domestic equity markets.

The future: Record results in Private Clients are enabling us to accelerate our investment in people and systems, thus ensuring a built-in continual improvement process in our service offering. We have also increased our investment in sales and marketing, with the aim of accelerating our organic growth rate.

Our sales teams have set themselves aggressive targets for new clients and we will look to further enhance our relationships with many of the professional services firms with whom we have a long association.

Our philanthropy services are set for a very exciting year with the re-launch of the EQT Foundation – a service tailored for philanthropists of all scale and persuasion.

We operate in a exciting sector of the financial service market and by refreshing traditional trustee services we have created a business model that is delivering strong growth to shareholders.

Business Unit Review (cont'd)

Fund Services



Head: Philip Maddox

Function: Overall responsibility for the risk management of Corporate Trust and Responsible Entity businesses – covering both managed funds and superannuation. Responsibilities also include Company Legal Counsel; Joint Company Secretary and compliance.

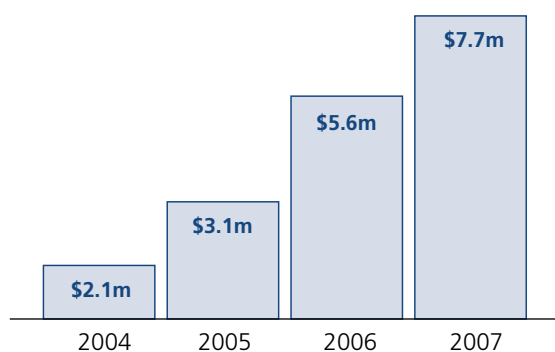
Performance:

Growth in operating revenue (2006/07): + 37.8%

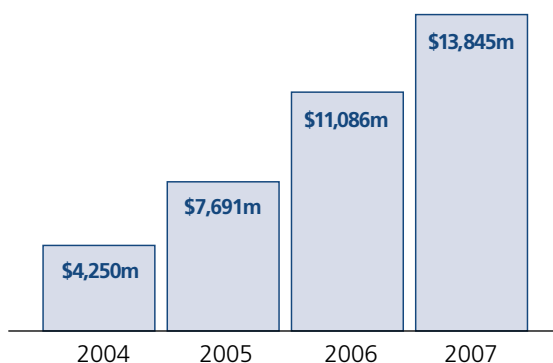
Growth in funds under management (2006/07): + 24.9%

Contribution to company operating revenue (2006/07): 25%

Operating revenue (\$m)



Funds under administration (\$m)



2006/07 Operational highlights: Continued strong revenue performance driven by the take up of a number of new Responsible Entity (RE) appointments. We now occupy a position of strength in this market, which relies heavily on our ability to assess, measure and manage risk.

Our reputation continues to be enhanced with the quality of manager that we are able to introduce to market. In 2006/07 we assisted Alpha Fund Managers, Armytage Private Limited, Credit Agricole, Jenkins Investment Management, Longreach, RCM Capital Management, Standard Life, T. Rowe Price, and Tidewater Asset Management, among others. We are also delighted to be working with Oppenheimer Capital again – one of our original clients from over 10 years ago.

We now provide Responsible Entity services to more than 30 clients, offering more than 100 funds across the institutional, wholesale and retail markets.

Our compliance resources continue to respond well to the demands of business, which increase in accordance with our overall growth. Given the complexity of many of the businesses in which we operate it is a credit to our staff that our risk management and monitoring structures are sound and able to respond efficiently to the needs of the company.

The future: The demand for our RE services, from both domestic and international managers, continues to grow.

We have made a conscious investment in our people – specifically those with legal and compliance expertise. These skills will enable us to further scale up our business without adversely affecting the quality of service that we are able to provide to clients.

We will continue to assess all new business with a very careful eye to risk management, an ongoing critical component of our success.

The superannuation landscape continues to change and, as a holder of a Registrable Superannuation Entity (RSE) Licence, we will be well positioned to take advantage of opportunities. Many of the skills that we have developed in our RE business are transferable to the requirements of growing our client base in this market.

Business Unit Review (cont'd)

Superannuation



Head: Adrian Young

Function: A full service, Sydney-based trustee, administration and investment business which manages employer superannuation funds through its "fund of funds" Master Trust primarily servicing small-to-medium sized enterprises. The Master Trust also offers tax effective pension accounts to individuals.

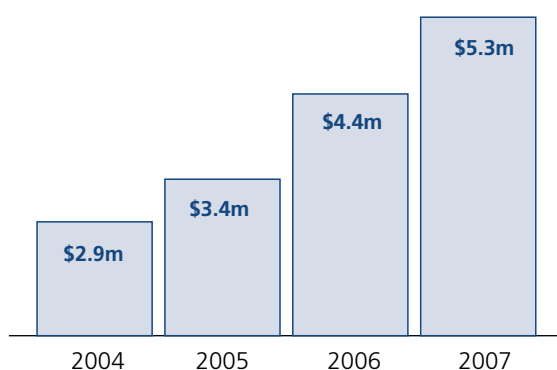
Performance:

Growth in operating revenue (2006/07): + 18.5%

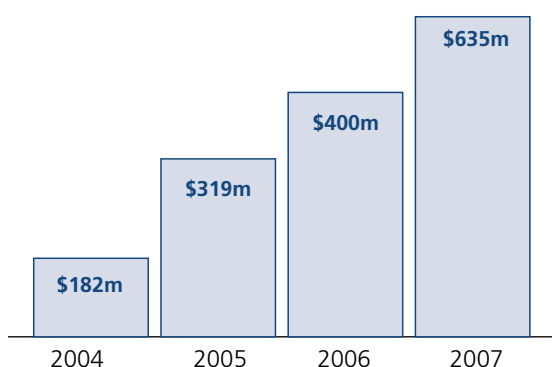
Growth in funds under management (2006/07): + 58.8%

Contribution to company operating revenue (2006/07): 17%

Operating revenue (\$m)



Funds under management (\$m)



2007 figure for funds under management includes Freedom of Choice.

2006/07 Operational highlights: Very good investment returns and changes in superannuation legislation (Better Super) have contributed strongly to the organic growth of the funds under management in 2007.

The acquisition of the Freedom of Choice Super Fund (FoC) in late June 2007 has not had any impact on profitability in 2007. It will contribute to the growth in funds under management in the 2007/08 year.

As a result we are establishing a presence within Equity Trustees' offices in Melbourne to service the FoC. The opening of our office in Brisbane will build our capability for sales and service in Queensland for our expanding client base.

We moved into our new custom-built offices in North Sydney last year which has provided all of our staff with a first-class working environment.

The future: The acquisition of FoC in late June 2007 will mean further significant growth in funds under management and profitability in 2008 and beyond. There will be a significant broadening of the group's product offering with FoC's extended investment options including the ability to invest in direct shares.

There are further opportunities to grow the business by way of acquisition and amalgamation in a responsible and effective way thus providing improved services and benefits to all members.

A continued stable investment climate and the absence of any political or financial shocks will provide on-going positive returns.



Support Unit Review

Corporate Services

“This was our fourth consecutive year of strong profit growth. The Group’s increased market capitalisation has resulted in Equity Trustees being included in the ASX All Ordinaries index.”

– Terry Ryan



Head: Terry Ryan

Function: Chief Financial Officer; Company Secretary; Director of subsidiary companies. Responsible for financial, company secretarial, ASX reporting, corporate and fund accounting matters.

2006/07 Operational highlights: The 2007 year was the fourth year of strong profit improvement, exceeding internal budgets.

The strength of profitability has resulted in another lift in dividends and flow-on to a stronger share price.

The Group’s increased market capitalisation has resulted in Equity Trustees being included in the ASX All Ordinaries index, leading to a greater awareness of the company by fund managers and other larger shareholder groups. An increase in the number of shareholders and share turnover has helped with this awareness.

The future: The opportunity pipeline continues to be solid. Our strong team approach should ensure that we assist in winning our fair share of available new business. In addition, we continue to help assess acquisition opportunities to bolt on to existing business units. Across all parts of the business we continue to have a strong focus on bottom line profit growth.

Support Unit Review (cont'd)

Distribution & Marketing

"We implemented new processes to cross-sell the various services of Equity Trustees more effectively – and established a direct presence in Queensland."

– Mark Godfrey



Head: Mark Godfrey

Function: Coordinating all communication and promotional activities. Strategic support to the distribution teams across the business to help drive sales and service. Corporate development and business planning. Establishment and evaluation of external growth opportunities through merger and/or acquisition.

2006/07 Operational highlights: The establishment of better processes through which the company can more effectively cross-sell its services. This has been achieved primarily through the appointment of key staff in our Private Clients and Superannuation business units, the results of which are now apparent and which provide a strong basis on which to grow sales in the coming year and beyond.

The establishment of a direct presence in the Queensland market was an important step forward for the company and it is very pleasing to see the effectiveness with which that team has established itself.

Many of our key corporate events are now well established and provide an opportunity for the company to promote its brand. Our direct marketing and communications structures are improved and will continue to be a focus.

We have also established a more robust corporate development structure through which we are better able to measure and track performance across the company.

Lastly, a key highlight was the acquisition of the Freedom of Choice master-trust, an activity that involved many staff from across the business units.

The future: We will continue to be active and aggressive in the pursuit of merger and acquisition prospects of all sizes. As our profile grows an increasing number of opportunities are apparent and we have built a strong in-house capability for assessing and developing these as appropriate.

The work of the Corporate Development team in tracking key projects and measures will be important as will the work of our Communications team in providing support to our Business Development and Client Relationship staff.

Support Unit Review (cont'd)

Human Resources

"Apart from finding the right people to help grow our Melbourne, Sydney and now Brisbane operations, we introduced reward and recognition schemes for all employees."

– Rob Jenkins



Head: Rob Jenkins

Function: Responsible for the development and implementation of Human Resources policies and processes that support strategic business objectives and operational requirements

2006/07 Operational highlights: Investment in recruitment and development to position for growth in Melbourne, Sydney and now Brisbane has been supported by higher focus on performance management and introduction of company-wide reward and recognition schemes.

Staff Satisfaction Survey results continue to improve from an already strong base.

A new approach to professional development has been launched to ensure key employees have ready access to new and emerging industry information, practices and trends. This ensures that EQT can be sure to meet compliance standards and continue to provide customer-focused professional services and quality products.

The future: We will focus on ensuring that employees have the skills and capabilities to support the company's growth agenda, performance expectations and development plans.

Integration of employees joining EQT from new business venture Freedom of Choice will require minor premises redesign and a comprehensive employee integration programme.

A fresh approach to new staff induction is also planned together with a refined continuing professional development and compliance reporting capability.

Support Unit Review (cont'd)

Information Technology

"We have upgraded services and capacity and are developing a system to automate Estate Administration and increase each administrator's workload efficiencies."

– Karen Symes



Head: Karen Symes

Function: Responsible for the company's computer-based systems and infrastructure

2006/07 Operational highlights: It's been a busy year responding to growth demands in all parts of our business. From an IT infrastructure perspective we have increased capacity, upgraded applications and services to meet the demands of our growing business. We have also successfully completed the testing of our new cross-site Disaster Recovery solution. We are presently in the implementation phase of a Group-wide IP Telephony system which brings with it many new features and productivity opportunities.

We continue to invest in our core business systems platform to enable client facing areas to provide up to date information to clients and support the roll-out of new products, whilst increasing the capacity of our office support processing areas.

We have developed an internal system to automate the workflow of the Estate Administration process which when fully implemented will enable us to double our workload within the existing team of administrators.

The future: We look forward to integrating the Freedom of Choice master-trust business into our site in Melbourne and setting up our new office in Brisbane.

We will be working to complete the Group IP Telephony implementation and reviewing the market for a Group solution for document management, imaging and workflow.

We will be expanding the Internet Client Reporting service via our website for our Wholesale Portfolio Manager Clients. The newly designed client statements for our Retail Portfolio Manager Clients will be issued later this year and subsequently made available via our website.

We continue to re-engineer business processes in line with new and enhanced functionality so that we have a continuous improvement approach to change.

2007/08 will also focus heavily on the implementation of formal methodologies for the Infrastructure Management, Business Analysis and Project Management roles within IT.

Support Unit Review (cont'd)

Operations

"The manner in which all staff have embraced the new technology platform has enabled us to significantly improve service levels and efficiency."

– Janine Smith



Head: Janine Smith

Function: Fiduciary Accounting, custody operations, unit registry for Equity Trustees managed funds, portfolio administration for Equity Trustees' funds and fund services corporate clients.

2006/07 Operational highlights: 2006/07 was a year of consolidation for the Operations team following a hectic period in which our new technology platform was introduced.

All staff are to be congratulated on the manner in which they have embraced the new system. Their enthusiasm has enabled us to significantly improve our service levels and efficiency.

The cohesion with which the team is working is evident in the manner in which we brought the administration and investment of the EQT Cash Management Trust in-house. The benefits of this change will be reflected in future periods.

We took the opportunity throughout the year to streamline our operations into a support structure that more closely responds to the needs of our clients. In this way we have been able to ensure that we are running as efficiently as possible with a focus on processes and system enhancement to cater for additional functionality. The benefit of this is a reduction in manual input through an ability to automate many functions.

The future: We look forward to upgrading our current unit registry system and improving investor communications. Our internet access facility will be a major improvement for unitholders, enabling us to provide access to distribution and taxation statements for all investors.



Equity Trustees Foundation

“Equity Trustees is continually seeking appropriate opportunities to provide support to the broader community in which we operate.”

– Peter Williams

We created the Equity Trustees Foundation as a cost-effective and flexible way for individuals and organisations to make a gift that keeps on giving. It offers the benefits of a public foundation, including taxation benefits, without the responsibility of being a Trustee.

Provided a minimum initial donation is made, contributions can be made to the Trustee's Gift Fund or a personalised account can be opened within the Foundation.

A personalised account is an excellent way to celebrate an individual's life and achievements in perpetuity. It can also be used by charities and community groups as a fundraising tool.

Three types of accounts

Trustee's Gift Fund

Individuals or organisations donate the amount they choose. Equity Trustees invests funds to the benefit of a range of charitable causes from helping those in need to funding valuable research. This simple option allows anonymous donations and all administration is undertaken by Equity Trustees.

Preferred Charity Account – Personalised

Individuals or organisations choose up to five charities. They can choose a successor to make recommendations on their behalf when they are no longer able to.

Preferred Purpose Account – Personalised

Individuals or organisations nominate a purpose rather than specific charities. This provides the option to review grant applications sourced by Equity Trustees and to make funding recommendations to Equity Trustees. A successor may be nominated to make recommendations on their behalf when they are no longer able to.

Equity Trustees Foundation – at a glance

Advantages:

- invest from \$1,000
- income produced within fund is tax-free
- generous tax concessions available for donations
- account can be named after an individual or organisation (or to perpetuate the memory of an individual)
- general public may contribute
- individuals/organisations determine level of involvement.

Individuals and Organisations can:

- establish the preferred criteria for charitable giving
- help assess projects to support
- appoint successors and/or advisers
- make further donations through a Will.

Factors to consider:

- charities to benefit must be deductible gift recipients
- donations are irrevocable
- all investment decisions made by Equity Trustees
- Equity Trustees – sole trustee of the foundation.



Corporate Governance Statement

The directors are responsible for the corporate governance practices of the company. This statement sets out the main corporate governance practices that were in operation throughout the financial year, except where otherwise indicated.

ASX best practice recommendations

The Australian Stock Exchange (ASX) Listing Rules require listed companies to include in their annual report a statement disclosing the extent to which they have followed the best practice recommendations issued by the ASX Corporate Governance Council. Listed companies must identify the recommendations which have not been followed and provide reasons for the company's decision.

As detailed in this Corporate Governance Statement, the company considers its governance practices comply with all but one of the ASX Corporate Governance Council – Principles of Good Corporate Governance and Best Practice Recommendations. The recommendations suggest that the company should establish a nomination committee (recommendation 2.4), however the company believes that the full board itself, rather than a committee, can adequately perform this task.

Directors and Board

As at the date of the Directors' Report, the Board comprises six directors, five of whom are independent non-executive directors and one executive director. Details of the skills, experience, relevant expertise and terms of office of the directors are set out in the Directors' Report. The Board carries out its responsibilities according to the following mandate:

- at least two-thirds of the Board should be made up of independent non-executive directors
- the chairman of the Board should be an independent non-executive director
- the directors should possess a broad range of skills, qualifications and experience
- the Board should meet on a monthly basis; and
- all available information in connection with items to be discussed at a meeting of the Board shall be provided to each director prior to that meeting.

The company recognises that independent directors are important in providing assurance to shareholders that the Board is properly fulfilling its responsibilities. The company considers all relevant circumstances in determining whether a director is independent, including the following:

- company shares owned directly or indirectly by the director
- employment by the company (or associates) of the director (or a family member) either currently or in the past
- business relationships between the company (or associates) and the director, a family member or business entity associated with them or with service providers in whom the director has an interest
- any material contractual relationship with the company or its associates other than as a director; and
- any other interest or relationship which could interfere with the director's ability to act in the best interests of the company.

A table of discretions has been adopted by the Board which discloses the functions that are reserved to the Board and those that are delegated to particular management of the company.

The primary responsibilities of the Board include:

- the approval of the annual and half-year financial reports
- the establishment of the long-term goals of the company and strategic plans to achieve those goals
- the review and adoption of annual budgets for the financial performance of the company and the monitoring of those results on a monthly basis
- ensuring that the company has implemented adequate systems of internal controls together with appropriate monitoring of compliance activities; and
- appointing, evaluating, supporting and directing the Managing Director.

Corporate Governance Statement (cont'd)

Independent professional advice

With the prior approval of the Chairman, each director has the right to seek reasonable independent legal and other professional advice at the company's expense concerning any aspect of the company's operations or undertakings in order to fulfil their duties and responsibilities as directors.

Performance evaluation, nomination and remuneration

The Board regularly reviews its overall performance, as well as the performance of its committees, individual independent directors and the Managing Director.

The Chairman is responsible for the monitoring of, and providing feedback to, individual directors. This process involves a peer review of each director by fellow directors and periodic external review.

Each executive (including the Managing Director) has business performance objectives which are linked to company objectives. Each executive (other than the Managing Director) is assessed against these objectives by the Managing Director. The assessment of the Managing Director is conducted by the Chairman after consultation with the Board.

The Board undertakes the following functions:

- the review of performance and composition of the Board on an annual basis.

This ensures that there is an appropriate mix of skills and experience. In relation to the possible appointment of new directors, focus is placed on the particular skills and experience which might be most appropriate to the company's objectives. Any appointee must meet appropriate ethical and reputation standards. The Board has determined, following due consideration of ASX best practice recommendation 2.4, that given its current size and experience, these tasks are best performed by the full Board itself rather than by a nomination committee:

- the review and setting of remuneration of all directors (including the Managing Director), and the review and approval of remuneration of executives on an annual basis.

Executive remuneration packages include both fixed and incentive arrangements. The object of the company's executive remuneration policy is to reflect both short-term and long-term performance objectives and to align executive rewards with shareholder value. There is currently a short-term share-based plan for employees, known as the Employee Share Acquisition Plan (ESAP). This plan is activated by the Board after considering the financial performance of the group for the preceding year. If activated, employees receive an annual allocation of no more than \$1,000 worth of shares in the company at no cost. Long-term executive remuneration is based on a share award plan in accordance with the Executive Performance Share Plan 1999 (the Plan). This plan was approved at the 1999 Annual General Meeting of the company. Executive share awards are approved by the Board via the Remuneration Committee. Non-executive directors' fees are determined by the Board within limits approved by shareholders. At the general meeting of the company held 28 October 2005 shareholders approved an aggregate limit of fees of \$450,000.

Following due consideration of ASX best practice recommendation 9.2, the Board has established a Remuneration Committee that reviews and sets remuneration of all directors (including the Managing Director) and reviews and approves remuneration of executives on an annual basis.

In determining remuneration, the Board has regard to prevailing market levels, including remuneration surveys to attract and retain directors and executives of high calibre to facilitate the efficient and effective management of the company's operations.

Particulars concerning directors' and executives' remuneration are set out in the Directors' Report.

Financial reporting

To support the company's 2007 financial reports, the Managing Director and Chief Financial Officer have confirmed in writing to the Board that the company's financial reports present a true and fair view, in all material respects, of the company's financial condition and that operational results are in accordance with relevant accounting standards. In addition they confirm to the Board in writing that:

Corporate Governance Statement (cont'd)

- the statements are founded on a sound system of risk management and internal compliance and control which implements the policies adopted by the Board; and
- the company's risk management and internal compliance and control system is operating efficiently and effectively in all material respects.

Audit and compliance committee

The Board operates an Audit and Compliance Committee which, consistent with the ASX best practice recommendations, consists of three directors, each of whom is an independent non-executive director. The Chairman of the Audit and Compliance Committee is independent and not chairman of the Board. The current members of the Audit and Compliance Committee are:

- Mr DF Groves, Chairman (appointed to Committee 1 January 2002, appointed Chairman 30 January 2003)
- Mr JR McConnell (appointed 30 January 2003)
- Mr P Molyneux (appointed 6 September 2006; retired 30 August 2007).

Details of the qualifications of members and the number of meetings of the Audit and Compliance Committee attended are set out in the Directors' Report.

The Audit and Compliance Committee operates under a formal charter which sets out matters including its objectives, duties and responsibilities and membership requirements. This Committee provides a forum for the effective communication between the Board and external auditors. The Audit and Compliance Committee reviews matters including:

- the annual and half-year financial statements prior to their approval by the Board
- the effectiveness of the management information systems and systems of internal control
- the appointment of external auditors
- the efficiency and effectiveness of the internal and external audit functions, including reviewing the respective audit plans; and
- compliance by the company with compliance plans developed for registered managed investment schemes for which the company acts as responsible entity.

The Audit and Compliance Committee generally invites the Managing Director, Compliance Manager, Chief Financial Officer and other responsible officers, and the external and internal auditors to attend its meetings. The Audit and Compliance Committee also meets with and receives regular reports from the external and internal auditors and Compliance Manager concerning any matters that arise in connection with the performance of their respective roles, including the adequacy of internal controls.

External auditors

The Audit and Compliance Committee reviews the adequacy of the external audit arrangements including the scope and quality of the audit. Where appropriate the Audit and Compliance Committee makes a recommendation to the Board that tenders be obtained from recognised and well-regarded accounting and auditing firms to conduct future audits.

Audit independence policy

To reflect recent legislative developments, report recommendations and accounting and audit practices, the Board has implemented an audit independence policy regarding the use of external auditors. The company will not use external auditors for:

- book-keeping services
- complete outsourcing of the internal audit function;
- asset or liability valuation services where material to the financial statements
- any service which requires the auditors to act as an officer of the company and/or be in a decision making role
- litigation services where the auditor would be required to act as an advocate of the company or where the amounts involved are material to the financial statements; and
- any service prohibited by the Corporations Act 2001.

The Audit and Compliance Committee approves the provision of any non-audit services to the company or its funds where fees for the services exceed \$50,000.

Corporate Governance Statement (cont'd)

Risk management

The Board is responsible for the company's system of internal controls. It constantly monitors the operational and financial aspects of the company's activities and, through the Audit and Compliance Committee, considers the recommendations and advice of external and internal auditors and other external advisers on the operational and financial risks that face the company.

The Board ensures that recommendations made by the external and internal auditors and other external advisers are investigated and, where necessary, immediate action is taken to ensure that the company has an appropriate internal control environment in place to manage the key risks identified.

In addition, the Board investigates ways of enhancing existing risk management strategies, including appropriate segregation of duties, the employment and training of suitably qualified and experienced personnel and, in conjunction with the recommendations of the Audit and Compliance Committee, the scope and program of the internal audit function.

Management committees

As part of Equity Trustees Limited's commitment to continually enhancing its risk management processes, a range of Management Committees have been established. These include the following:

Investment Management Committee

The primary functions of this committee includes overseeing the asset management activities and developing the company's investment style and process, developing appropriate asset allocation frameworks and assessing and reviewing external investment markets and investment managers. This committee also monitors the Equity Trustees' company portfolio.

Asset Review Committee

The primary functions of this committee includes monitoring the performance and portfolios of the various trusts and estates administered by the company when it acts as agent, executor or trustee in light of the company's "prudent person" responsibilities under the

Trustee Act; and the superannuation portfolios for which the company acts as trustee in light of the investment strategy responsibilities under the Superannuation Industry (Supervision) Act.

Due Diligence Committee

The primary functions of this committee include monitoring due diligence across the company, reviewing disclosure documents, considering proposed changes to compliance plans, constitutions and trust deeds for registered managed investment schemes and registrable superannuation entities (RSE's) for which the company acts as responsible entity or trustee and reviewing new business proposals for accepting appointment as trustee or responsible entity and making appropriate recommendations to the Board.

Funds Review Committee

The primary functions of this committee include monitoring of internally managed funds as well as the allocation of money between nominated company funds within approved parameters. The Committee also considers and approves new mortgages and develops proposals for new investment products.

Trust Review Committee

The primary function of this committee is to monitor the decision making process which requires the exercise of discretion or application of power by the company, where it acts in its capacity as an agent, executor or trustee. The Committee seeks to formalise the decision making process and individual levels of authority within an appropriately constituted and accountable committee.

Communication to shareholders and the market

The Board is committed to effective communication with its investors and believes that shareholders should be fully informed in a timely manner of all major business events that might influence the company. Shareholders have the right to attend the company's annual general meeting and are encouraged to participate effectively at these meetings. The company's external auditor attends the annual general meeting and is available to answer shareholder questions about the conduct of the audit and the preparation and content of the auditor's report.

Corporate Governance Statement (cont'd)

The company has in place effective external disclosure procedures including a market disclosure policy which seeks to ensure that:

- there is full and timely disclosure of the company's activities to shareholders and the market in accordance with the company's legal and regulatory obligations; and
- all stakeholders (including shareholders, the market and other interested parties) have an equal opportunity to receive and obtain externally available information issued by the company.

The Board and the executive group of the company are fully aware of the obligation to comply with the ASX Listing Rules.

Dealing in company's shares

Directors are required by the company's constitution to hold a minimum of 300 shares. Their current shareholdings are shown in the Directors' Report.

Directors, employees and contractors (and their immediate family members and any person or entity over which they have a degree of control or influence) are prohibited from trading in the company's shares unless the trade occurs within 30 days from two business days after the date of:

- the release of the company's yearly and half-yearly results to the ASX; or
- the company's annual general meeting.

However, directors, employees and contractors (and their immediate family members and any person or entity over which they have a degree of control or influence) are prohibited from trading in the company's shares at any time if they are aware of any price sensitive information that has not been made public. All dealings in shares of the company by directors are promptly notified to the ASX.

Code of conduct

Equity Trustees Limited is committed to maintaining high standards of integrity and conducting its business in accordance with high standards of ethical behaviour. As part of the Board's commitment to the highest standards of conduct and integrity, it has adopted the Code of Practice for Statutory Trustee Organisations

(as it applies to directors, employees and contractors) issued by the Trustee Corporations Association in March 2001.

The Objectives of the Code of Practice in its application to the company include:

- defining high professional and ethical standards to be met
- promoting disclosure of information relevant and useful to customers so as to allow them to make an informed choice; and
- promoting the delivery of trustworthy, high quality and efficient trustee and investment services.

The Code of Practice covers such matters as:

- acting with honesty and integrity, and in the best interests of customers
- operating the business in a professional manner acting at all times with the due care, skill and diligence required of a statutory trustee organisation
- observing sound business practices and ensuring, amongst other things, that the company has regard to relevant industry standards/policies and has adequate and properly documented plans, controls and maintenance mechanisms which are implemented at all levels of business
- respecting and preserving the privacy and confidentiality of customers
- providing clearly expressed terms and conditions to a customer
- making full disclosure of any fee charged or commission to be received by the company. Statements detailing account transactions are sent to clients at least every 12 months, or at any shorter intervals required by legislation; and
- having an internal dispute resolution process which provides for a fair and timely method of handling disputes, utilising appropriate external dispute resolution processes such as those prescribed under legislation (where relevant) and utilising external impartial mediation when complaints may be otherwise unresolved.



Directors' Report

Directors' report for the financial year ended 30 June 2007

The directors of Equity Trustees Limited submit herewith the annual financial report for the financial year ended 30 June 2007. In order to comply with the provisions of the Corporations Act 2001, the directors report as follows:

The names of directors of the company during or since the end of the financial year are:

Philip G Molyneux, Chairman

Peter J Williams, Managing Director

David F Groves

John R McConnell

Barry J Jackson

J A (Tony) Killen

Ross A Illingworth (resigned 31 August 2006)

Details of directorships and experience are summarised in the Board of Directors' Profiles.



Directors' Report (cont'd)

Company Secretaries

Mr Terry Ryan, Chartered Accountant, held the office of Company Secretary during and since the end of the financial year. Mr Ryan joined Equity Trustees Limited in 2003 and previously held senior finance, administration and secretarial roles in the financial services industry and is a member of the Institute of Chartered Accountants and the Financial Services Institute of Australasia.

Mr Philip Maddox, Lawyer, held the office of Joint Company Secretary during and since the end of the financial year. Mr Maddox joined Equity Trustees Limited in late 2001 and previously held senior managerial and operational roles in the trustee industry. He is a member of the Law Institute of Victoria and currently holds a Legal Corporate Practising certificate.

Principal activities

The principal activities of the Equity Trustees Group during the course of the financial year involved the provision of services to clients of our Funds Management, Private Client, Fund Services and Superannuation business units. Further detail pertaining to the activities of these business units can be found in the Business Unit Performance report.

Review of operations

For a review of operations refer to the Managing Director's report.

Changes in the state of affairs

During the financial year, there was no significant change in the state of affairs of the consolidated entity other than that referred to in the financial statements or notes thereto.

Subsequent events

There has not been any matter or circumstance that has arisen since the end of the financial year that has significantly affected, or may significantly affect, the operations of the consolidated entity, the results of those operations, or the state of affairs of the consolidated entity in future financial years.

Future developments

Disclosure of information regarding likely developments in the operations of the consolidated entity in future financial years and the expected results of those operations is likely to result in unreasonable prejudice to the consolidated entity. Accordingly, this information has not been disclosed in this report.

Dividends

In respect of the financial year ended 30 June 2006:

- i. An interim dividend of 20 cents per share, franked to 100% at 30% corporate income tax rate, was paid to holders of fully paid ordinary shares on 13 April 2006.
- ii. A final dividend of 30 cents per share, franked to 100% at 30% corporate income tax rate, was paid to holders of fully paid ordinary shares on 10 October 2006.

In respect of the financial year ended 30 June 2007:

- iii. An interim dividend of 30 cents per share, franked to 100% at 30% corporate income tax rate, was paid to holders of fully paid ordinary shares on 13 April 2007.
- iv. Subsequent to 30 June 2007, the directors declared a final dividend of 45 cents per share, franked to 100% at 30% corporate income tax rate, payable to holders of fully paid ordinary shares on 10 October 2007.

Directors' Report (cont'd)

Indemnification of directors, officers and auditors

During the financial year, the company paid a premium in respect of a contract insuring the directors, company secretaries and officers of the company and its controlled entities against a liability incurred as such a director, secretary or officer to the extent permitted by the Corporations Act 2001. The contract of insurance prohibits disclosure of the nature of the liability and the amount of the premium.

The company has not otherwise, during or since the financial year, indemnified or agreed to indemnify a director, a company secretary, an officer or auditor of the company or any related body corporate against a liability incurred as such a director, company secretary, officer or auditor.

Directors' meetings

The following table sets out the number of directors' meetings (including meetings of committees of directors) held during the financial year and the number of meetings attended by each director (while they were a director or committee member). During the financial year, 14 board meetings, 11 committee of the board, four remuneration and 11 audit and compliance committee (A&CC) meetings were held.

Directors in Attendance	Board Meetings		Committee of the Board ¹		Remuneration Committee		Audit & Compliance Committee	
	Eligible to Attend ²	Attended	Eligible to Attend ²	Attended	Eligible to Attend ²	Attended	Eligible to Attend ²	Attended
P G Molyneux	14	13	11	11	4	4	9	9
P J Williams	14	14	9	9	–	–	–	–
D F Groves	14	14	10	10	–	–	11	11
J R McConnell	14	14	7	7	–	–	11	11
B J Jackson	14	14	4	4	4	4	–	–
J A Killen	14	14	5	5	4	4	–	–
R A Illingworth ³	2	2	1	1	–	–	1	1

¹ Committee of the board meetings are constituted by at least any two directors acting pursuant to the authority of the full board.

² Meetings held that the director was eligible to attend whilst holding office.

³ Ross A Illingworth resigned as a director on 31 August 2006.

Directors' Report (cont'd)

Directors' shareholding

The following table sets out each director's relevant interest in shares. All shares are fully paid ordinary shares.

Director	Number of shares held as at 30 June 2007
D F Groves	500,255
J R McConnell	18,768
B J Jackson	10,500
P G Molyneux	6,297
P J Williams	5,230
J A Killen	3,757

Remuneration report

Key management personnel of the company during the year comprised the directors and executives listed in the tables below.

Remuneration packages contain the following key elements:

- Salary / fees – includes directors fees and cash salaries;
- Performance incentives (executives only) – includes short-term incentive payments;
- Non-monetary – includes parking costs and fringe benefits tax;
- Termination benefits – includes annual leave on termination;
- Post employment – includes superannuation guarantee charge (SGC) and the directors' retiring allowance (DRA);
- Other long-term employee benefits – includes movement in accrual for long service leave; and
- Share-based payments – includes long term incentive awards (Awards) granted under the Executive Performance Share Plan 1999 and shares issued under the Employee Share Acquisition Plan. The Awards to acquire shares form part of executive long-term performance incentives.

Remuneration of all executives is reviewed on an annual basis by the Remuneration and Human Resources Committee and determined with regard to current market rates and executive performance.

Short-term performance incentives are calculated by reference to agreed key performance indicators for the year ended 30 June 2007. These include earnings per share, group profitability, revenue growth, expense control, and other performance criteria specific to the respective executive's responsibilities. These performance criteria were chosen so as to provide a suitable incentive for improved executive performance for the benefit of shareholders and other stakeholders.

The measurement of criteria is assessed by adopting a balanced scorecard approach, with each criteria given a threshold representing the minimum incentive and another stretch threshold representing an excellent achievement, for which the maximum incentive is paid. In all cases the Remuneration and Human Resources Committee confirms the appropriateness of the criteria, appropriate thresholds and, at the conclusion of the measurement period, confirms the level of achievement. Short-term executive performance incentives relating to the year ended 30 June 2007 were accrued at year end and are payable in September 2007. The grant date for the 2007 short-term performance incentive arrangements was 26 July 2006 and there were no alterations to terms or conditions since that date.

Long-term performance incentives are offered to executives via the grant of Awards which confer the right to acquire shares at no cost subject to meeting prescribed performance hurdles. The details of these incentives are outlined below under the heading, Executive Share Performance Plan. The value of long-term performance incentives is spread over the measurement period, with the value for the year to 30 June 2007 accrued at year end.

Directors' Report (cont'd)

The following table discloses the directors of Equity Trustees Limited during the year, together with remuneration entitlements:

2007

Directors	Short-term employee benefits			Post-employment benefits		Other long-term employee benefits	Share-based payments	Total
Non-executive Directors	Fee / salary	Perf. incentive	Non-monetary	Super-annuation	DRA ²		Share Awards	
	\$	\$	\$	\$	\$	\$	\$	\$
P G Molyneux, Chairman	84,243	–	–	7,582	13,388	–	–	105,213
D F Groves	–	–	–	70,850	(15,792)	–	–	55,058
J R McConnell	9,583	–	–	53,092	(3,046)	–	–	59,629
B J Jackson	–	–	–	53,410	(4,081)	–	–	49,329
J A (Tony) Killen	8,500	–	–	47,090	362	–	–	55,952
R A Illingworth ¹	–	–	–	9,583	8,380	–	–	17,963
Executive Director								
P J Williams, Managing Director	310,019	147,940	7,328	12,686	–	3,982	114,246	596,201

2006

Non-executive Directors								
P G Molyneux, Chairman	64,500	–	–	5,805	12,668	–	–	82,973
D F Groves	47,000	–	–	4,230	18,483	–	–	69,713
J R McConnell	45,750	–	–	4,118	21,617	–	–	71,485
B J Jackson	17,500	–	–	28,280	13,016	–	–	58,796
J A (Tony) Killen	43,000	–	–	3,870	11,248	–	–	58,118
R A Illingworth ¹	–	–	–	49,868	5,896	–	–	55,764
Executive Director								
P J Williams, Managing Director	280,771	68,800	7,058	12,139	–	2,360	52,177	423,305

¹ Mr Illingworth resigned as a director on 31 August 2006 and was paid \$36,465 as a directors' retiring allowance.

² DRA represents an accrual for directors' retiring allowance and is calculated in accordance with the accounting policy as outlined in note 3(e) to the financial statements. The negative balances represent a reduction in the discounted liability as a result of a reassessment of likely retirement dates. The DRA for each director was frozen as at 31 December 2005 but the frozen amounts are inflation-adjusted annually for the movement in CPI.

Directors' Report (cont'd)

The following table discloses the highest remunerated executives and key management personnel of Equity Trustees Limited Group during the year, together with remuneration entitlements:

2007

Executives	Short-term employee benefits			Termination benefits	Post-employment benefits	Other long-term employee benefits	Share-based payments		Total
Name	Salary	Perf. incentive	Non-monetary		Super-annuation		Share Awards	Employee Share Acquisition Plan	
	\$	\$	\$	\$	\$	\$	\$	\$	
H H Kalman, Head of Funds Management	205,203	72,900	7,143	–	12,686	3,276	52,433	982	354,623
S R Manuell, Head of Private Clients	197,314	74,424	–	–	12,686	2,472	49,521	982	337,399
T Ryan, CFO & Company Secretary	204,812	51,272	7,535	–	12,686	2,598	52,433	982	332,318
A Young, Managing Director – ETSL	179,121	92,439	6,592	–	18,860	4,659	–	982	302,653
P B Maddox, Head of Fund Services and Chief Legal Officer	173,071	35,469	7,389	–	18,768	2,849	46,281	982	284,809

2006

H H Kalman, Head of Funds Management	189,849	40,188	6,863	–	12,139	2,322	24,233	993	276,587
T Ryan, CFO & Company Secretary	189,517	39,466	7,195	–	12,139	1,369	24,233	993	274,912
S R Manuell, Head of Private Clients	187,861	28,930	–	–	12,139	1,774	23,190	993	254,887
R P Dillon, Managing Director – ETSL	176,000	44,000	–	27,077	–	–	–	–	247,077
P B Maddox, Head of Fund Services and Chief Legal Officer	167,861	32,366	7,167	–	12,139	1,639	21,683	993	243,848

Directors' Report (cont'd)

Executive share performance plan

During the financial year, the Board of Directors approved the issue of a second series of long-term incentive awards (Awards) under the Equity Trustees Limited Executive Performance Share Plan 1999 (the Plan). The total number of share entitlements issued under the 2006/07 series was 43,510 (2006: 48,998).

The structure of the Plan approved by the Equity Trustees Limited Board Remuneration and Human Resources Committee (Remuneration Committee) is to form part of the remuneration structure of eligible executives, in particular, the long term incentive (LTI) component of remuneration.

The key features of the Award are as follows:

- the Remuneration Committee will consider and approve participants under the Plan
- the value of the Award is determined by the Remuneration Committee
- the number of share entitlements issued to each participant under the second series is calculated by dividing the value of the Award by the weighted average share price of Equity Trustees Limited shares traded during the three-month period to 30 June 2006
- the term of each Award series is a three-year period, with additional performance assessments during the fourth year, if required
- the performance criteria are based on:
 - 50% as to Total Shareholder Return (TSR), and
 - 50% as to Earnings per Share (EPS)
- TSR is defined as the increase in share price over the three-year measurement period, plus dividends reinvested over the three-year period. This is compared to a Comparator Group based on the ASX200 Index and a vesting scale applied
- EPS is based on normalised operating profit before tax, which excludes profits/losses on the sale of investments. The EPS is compared to the base year and a vesting scale applied to calculate earned entitlements

- each share entitlement converts to one ordinary share of Equity Trustees Limited on exercise
- no amounts are paid or payable by participants on receipt of the share entitlement
- the share entitlements carry neither rights to dividends nor voting rights
- the number of share entitlements on issue is adjusted for any capital reconstructions during the measurement period
- holders of share entitlements do not have a right, by virtue of the entitlements held, to participate in any new share issue of the company
- the participant must be employed within the Equity Trustees Limited Group for the duration of the measurement period to exercise any share entitlements
- shares issued after the completion of the measurement period are subject to an escrow period of a further two years from the end of the initial three-year measurement period
- dividends vest to the participant during the two-year escrow period
- the use of hedging or derivative techniques is not permitted until shares are released from escrow.

Directors' Report (cont'd)

The following share-based payment arrangements were in existence during the period:

Award series	Number	Grant date	Expiry date	Exercise price \$	Fair value at grant date \$
2006/07 Series	43,510	27/07/06	30/6/09	nil	14.36
2005/06 Series	48,998	28/10/05	30/6/08	nil	10.31

The weighted average fair value of the share entitlements granted during the financial year is \$14.36 (2006: \$10.31). The share entitlements were valued by PricewaterhouseCoopers using an adjusted form of the Black-Scholes Option Pricing Model that incorporates a Monte Carlo simulation analysis. The model has been modified to incorporate an estimate of the probability of achieving the TSR hurdle and the number of share entitlements vesting.

Inputs into the model	2006/07 Series	2005/06 Series
Grant date share price	\$18.25	\$12.60
Exercise price	nil	nil
Expected volatility	30% pa	30% pa
Share entitlement life	3 years*	3 years*
Dividend yield	3.30%	3.30%
Risk-free interest rate	5.96%	5.35%

* In accordance with the Plan, the measurement of performance criteria is at the end of the three-year period ending 30 June 2009 for the second series and 30 June 2008 for the first series, however if the performance criteria are not fully achieved there will be further assessments at the end of each month during the fourth year to 30 June 2010 (second series) and 30 June 2009 (first series).

The following reconciles the outstanding share entitlements granted under the Plan at the beginning and end of the financial year:

	2007		2006	
	Number of share entitlements	Weighted average exercise price \$	Number of share entitlements	Weighted average exercise price \$
Balance at beginning of the financial year	48,998	—	—	—
Granted during the financial year	43,510	—	48,998	—
Balance at end of the financial year (i)	92,508	—	48,998	—
Exercisable at end of the financial year	—	—	—	—

No share entitlements granted under the Plan were exercised during the financial year.

(i) Balance at end of the financial year

The share entitlements outstanding at the end of the financial year had an exercise price of nil, and a weighted average remaining contractual life of 538 days (2006: 731 days) plus, if required, a further 365 days if the measurement criteria is not achieved at the end of the three-year period for each series.

Directors' Report (cont'd)

The following is a summary of movements in Awards in respect of key management personnel:

2007	Balance at 1 July 2006	Granted as compensa- tion	Exercised	Net other change	Balance at 30 June 2007	Balance vested at 30 June 2007	Vested but not exercis- able	Vested and exercis- able	Vested during year
	No.	No.	No.	No.	No.	No.	No.	No.	No.
P J Williams	15,190	12,967	–	–	28,157	–	–	–	–
T Ryan	7,051	5,894	–	–	12,945	–	–	–	–
H H Kalman	7,051	5,894	–	–	12,945	–	–	–	–
S R Manuell	6,751	5,501	–	–	12,252	–	–	–	–
P B Maddox	6,319	5,134	–	–	11,453	–	–	–	–

Note that the balance of Awards at 1 July 2006 were all granted as compensation during the year ended 30 June 2006.

Non-audit services

The directors are satisfied that the provision of non-audit services, during the year, by the auditor (or by another person or firm on the auditor's behalf) is compatible with the general standard of independence for auditors imposed by the Corporations Act 2001.

Details of amounts paid or payable to the auditor for non-audit services provided during the year by the auditor are outlined in note 11 to the financial statements.

Auditors' independence declaration

The auditors' independence declaration is included on page 55 of the financial report.

Statutory trustee

Equity Trustees Limited is authorised by the law of the state of Victoria to take in its name a Grant of Probate of the will of a deceased person. Assets and liabilities of trusts, estates and agencies for which the company acts as trustee, executor or agent, are not included in the company's financial statements.

Reserve fund

The provisions of the Trustee Companies Act 1984 which require the creation of a reserve fund to be set aside by statutory trustee companies have been complied with and are reflected in the company's financial statements.

Signed in accordance with a resolution of the directors made pursuant to Section 298(2) of the Corporations Act 2001.

On behalf of the directors.



Mr Peter J Williams
Managing Director

Dated 27 August 2007

Board of Directors



JA (Tony) Killen, Chairman

BA, FAICD, FAIM

Non-Executive Director since September 2002

Chairman since August 2007

**Chairman of Equity Trustees' Remuneration
& HR Committee**

Previously the Group Managing Director and Chief Executive Officer of the listed insurance and funds management company, AXA Asia Pacific Holdings Ltd, Tony had a 36-year career with the National Mutual/AXA group.

An alumnus of the Sloan School of Management, MIT, Boston, Massachusetts, he is Chairman of Australia's largest not-for-profit health services provider, Sisters of Charity Health Service Ltd, is a non-executive director of Catholic Church Insurances Ltd, and a non-executive director of listed companies, IRESS Market Technology Ltd and Templeton Global Growth Fund Ltd.

Tony is a former Chairman of St Vincent's Hospital Melbourne Ltd, a former director of St Vincent's Institute of Medical Research and a past president of the WA Insurance Institute.



Philip Molyneux AM

B.Econ, FCA

**Chairman between 1 January 2003
and 30 August 2007**

**Non-Executive Director between 1992
and 30 August 2007**

**Member of Equity Trustees' Remuneration
& HR Committee until 30 August 2007**

**Member of Equity Trustees' Audit & Compliance
Committee from 6 September 2006 until
30 August 2007**

Philip is involved in non-executive roles in both the not-for-profit and corporate sectors. Between 1998 and July 2007 he chaired the listed biotech research and development company, Anadis Limited, and is a director of the listed company, Pro Medicus Limited, which specialises in software for the radiology sector. Philip's other directorships include the Centre for Eye Research Australia Limited. He is a past director of the Australian National Academy of Music Limited and is a trustee of the Eye Research Foundation, the Ansell Ophthalmology Foundation and The Monash University Accident Research Foundation.

The qualifications and experience of the Board of Directors of Equity Trustees Limited, before, during and since the year ended 30 June 2007

Board of Directors (cont'd)



Peter Williams, Managing Director

Dip.All, MAICD, FAIM

Executive Director since March 2003

Peter was appointed Equity Trustees' Managing Director in February 2003 with significant experience in the financial services industry. He has broad experience in investments, insurance and superannuation, having worked in Australia and internationally with the listed insurance company AXA Asia Pacific Holdings Ltd (previously National Mutual Ltd). His roles included General Manager and Chief Executive Officer of AXA Trustees Ltd.

In 1988, Peter was appointed General Manager, National Mutual Asia Ltd, working out of Hong Kong. On returning to Australia in 1993, Peter became national marketing manager at National Mutual Funds Management and in 2000 he was appointed General Manager, Superannuation and Portfolio Services at Perpetual Trustees Australia.

Before 1988, Peter worked in various roles including National Mutual's corporate business manager (Western Australia, South Australia, Northern Territory), superannuation sales consultant and client manager.

Other directorships have included NM Superannuation Pty Ltd, including two years as its chairman, two years as the national president of the Trustee Corporations Association of Australia and Peter is currently a board member of that organisation. Peter was a director and vice-chairman of Austcham (the Australian Chamber of Commerce) in Hong Kong and has been both vice president and executive director of Victorian Baseball Association Inc. In February 2005, Peter was appointed to the board of the Australian Baseball Federation.



David Groves

B.Com, M.Com, CA, FAICD

Non-Executive Director since November 2000

Appointed Chairman of Equity Trustees' Audit and Compliance Committee in January 2003

A director of GrainCorp Limited, Tassal Group Ltd and Kambala, a leading Australian girl's school located in Sydney. He is also an executive director of a number of private companies involved in agriculture, viticulture and investment. Formerly a director of Mason Stewart Publishing, non-executive director of Camelot Resources NL and a non-executive with Macquarie Bank Limited and its antecedent, Hill Samuel Australia.

Board of Directors (cont'd)



John McConnell

B.Com, FAICD, FAIM, F Fin

Non-Executive Director since January 2002

Member of Equity Trustees' Audit & Compliance Committee since January 2003

John has had more than 35 years' experience in banking and finance with the ANZ Banking Group in Australia, New Zealand and the United Kingdom, and has held various board positions within that Group. Roles at ANZ included Managing Director of Corporate Banking and Retail Banking, and Deputy Managing Director of Esanda Finance Corporation Ltd.

John is chairman of HarvestRoad Ltd, director of ASG Group Ltd and Housewares International Ltd and chairs Housewares' Remuneration Committee. He was a founding director of Family Business Australia Ltd and the Melbourne Community Foundation, and is a past member of the Epworth Medical Foundation.



Barry Jackson

B.Com (Hons), MAICD

Non-Executive Director since September 2002

Member of Equity Trustees' Remuneration & HR Committee

Barry is a former Managing Director of Pacifica Group Limited and chief executive of BTR Nylex's Building Products Group, with more than 30 years' experience in manufacturing and industrial marketing. He is a director of Alesco Corporation Limited, Paperlinx Limited and St Vincent's Institute of Medical Research and was a director of CSR Limited until March 2007.

Board of Directors (cont'd)



Alice Williams

B.Com, FCPA, FAICD, CFA.

Non-Executive Director since September 2007

Alice has over 20 years senior management and Board level experience in the corporate and Government sectors specialising in investment management, corporate advisory and equity fundraising. Alice was formerly a Director of NM Rothschild and Sons (Australia) Limited, Director of Strategy and Planning for Ansett Australia Holdings Limited and a Vice President at JP Morgan Australia. Alice has also held management positions with Elders Finance Group, Hong Kong Bank of Australia Limited and Citibank NA in London.

Other non-executive directorships include The Cancer Council of Victoria (Council Member), Air Services Australia (including Chair, Audit Committee), Australian Accounting Standards, Victorian Competition and Efficiency Commission (Commissioner), Guild Insurance & Financial Services (including Chair Investment Committee, Member, Audit Committee), Telstra Sales Company Limited and V/Line Passenger Corporation.

Formerly, Alice was Director of State Trustees Limited (including Chair, Audit Committee & Chair Investment Committee), Chair STL Australia Foundation, Chair of the 2004 Wheat Marketing Review Panel and Director Western Health and Chairman of Finance and Audit Committee.



Ross Illingworth

B.Bus (HR), GAICD, CFP

Non-Executive Director between March 2003 & 31 August 2006

Member of Equity Trustees' Audit & Compliance Committee between April 2003 & 31 August 2006

Ross is Senior Vice President – Investments, Citi Smith Barney. Having worked in the stockbroking industry since 1986, he has had extensive experience in institutional dealing, charitable foundations, investment companies, capital markets and high net worth private clients. He is a member of the Institute of Company Directors and a graduate of the Company Directors Course and International Directors Course. He is a member and Certified Financial Planner with the Financial Planning Association.

Ross is a director of the Sir Robert Menzies Memorial Foundation Ltd and a member of its Investment Committee and a member of Howard Florey Institute (Corporate and Major Gifts Committee).

Declaration of Auditors' Independence



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Board of Directors
Equity Trustees Limited
575 Bourke Street
MELBOURNE VIC 3000

27 August 2007

Dear Sirs

EQUITY TRUSTEES LIMITED

In accordance with section 307C of the Corporations Act 2001, I am pleased to provide the following declaration of independence to the directors of Equity Trustees Limited.

As lead audit partner for the audit of the financial statements of Equity Trustees Limited for the financial year ended 30 June 2007, I declare that to the best of my knowledge and belief, there have been no contraventions of

- (i) the auditor independence requirements of the Corporations Act 2001 in relation to the audit; and
- (ii) any applicable code of professional conduct in relation to the audit.

Yours sincerely

A handwritten signature in black ink, appearing to read "Deloitte Touche Tohmatsu".

DELOITTE TOUCHE TOHMATSU

A handwritten signature in black ink, appearing to read "Peter A Caldwell".

Peter A Caldwell
Partner
Chartered Accountants

Member of
Deloitte Touche Tohmatsu

Directors' Declaration

Directors' Declaration for the financial year ended 30 June 2007

The directors declare that:

- a) in the directors' opinion, there are reasonable grounds to believe that the company will be able to pay its debts as and when they become due and payable;
- b) in the directors' opinion, the attached financial statements and notes thereto are in accordance with the Corporations Act 2001, including compliance with accounting standards and giving a true and fair view of the financial position and performance of the consolidated entity; and
- c) the directors have received from the Managing Director and the chief financial officer the declarations required by section 295A of the Corporations Act 2001.

Signed in accordance with a resolution of the directors made pursuant to section 295(5) of the Corporations Act 2001.

On behalf of the directors

A handwritten signature in black ink, appearing to read 'Peter J Williams', with a stylized flourish at the end.

Mr Peter J Williams
Managing Director

Melbourne, 27 August 2007

Income Statement for the financial year ended 30 June 2007

	Note	Consolidated		Company	
		2007	2006	2007	2006
		\$	\$	\$	\$
Revenue	5	31,128,693	23,499,589	26,006,180	19,090,379
Other revenue	5	1,934,709	1,842,556	1,812,485	1,803,614
Total revenue	5	33,063,402	25,342,145	27,818,665	20,893,993
Employee benefits expenses	7	13,374,666	11,486,401	11,103,002	9,734,448
Other employment and consulting expenses		1,312,924	964,314	1,022,587	602,931
Audit and tax advice expenses		250,844	236,594	209,226	193,180
Depreciation and amortisation expenses	7	830,702	308,049	714,455	265,158
Insurance expenses		614,096	702,409	539,355	615,222
Legal expenses		149,621	528,060	146,217	509,499
Marketing expenses		1,324,469	892,118	1,238,823	873,339
Information technology expenses		1,168,274	1,025,934	1,055,491	967,806
Occupancy expenses		1,185,061	1,024,432	864,265	867,702
Other expenses		1,045,097	962,924	919,022	854,082
Total expenses		21,255,754	18,131,235	17,812,443	15,483,367
Profit before income tax expense		11,807,648	7,210,910	10,006,222	5,410,626
Income tax expense	8	3,664,144	2,055,364	3,120,971	1,513,179
Profit from continuing operations		8,143,504	5,155,546	6,885,251	3,897,447
Profit for the period		8,143,504	5,155,546	6,885,251	3,897,447
Profit attributable to members of the parent entity		8,143,504	5,155,546	6,885,251	3,897,447
Earnings per share					
–Basic (cents per share)	30	105.18	69.94		
–Diluted (cents per share)	30	104.28	69.73		

The above statement should be read in conjunction with the accompanying notes to the financial statements.

Balance Sheet as at 30 June 2007

	Note	Consolidated		Company	
		2007	2006	2007	2006
		\$	\$	\$	\$
Current assets					
Cash and cash equivalents	38	1,051,510	1,020,622	483,942	452,991
Trade and other receivables	12	4,830,215	3,536,512	4,383,331	3,343,990
Prepaid expenses		497,336	414,503	465,037	389,869
Other current financial assets	13	12,859,362	7,945,937	12,859,362	7,945,937
Reserve fund	19	3,100,000	2,850,000	3,100,000	2,850,000
Total current assets		22,338,423	15,767,574	21,291,672	14,982,787
Non-current assets					
Trade and other receivables	14	148,214	148,214	148,214	148,214
Other financial assets	15	6,486,898	5,154,119	21,282,873	20,973,034
Reserve fund	19	3,100,000	2,850,000	3,100,000	2,850,000
Property, plant & equipment	16	1,282,793	705,938	868,383	646,318
Intangible assets	17	20,408,197	19,095,280	1,273,839	1,157,664
Deferred tax assets	8	1,141,859	1,054,831	1,007,357	1,010,330
Goodwill	20	4,105,658	-	-	-
Total non-current assets		36,673,619	29,008,382	27,680,666	26,785,560
Total assets		59,012,042	44,775,956	48,972,338	41,768,347
Current liabilities					
Trade and other payables	21	847,238	1,091,823	284,938	847,912
Provisions	22	2,850,089	2,639,927	2,783,621	2,586,562
Other current liabilities	23	5,772,299	562,692	597,299	562,692
Current tax payable	8	1,905,921	1,589,142	1,905,921	1,589,142
Total current liabilities		11,375,547	5,883,584	5,571,779	5,586,308
Non-current liabilities					
Provisions	24	1,206,293	1,072,713	1,042,613	1,009,577
Other non-current liabilities	25	201,801	34,995	124,502	124,502
Deferred tax liabilities – investment revaluation	8	1,790,171	1,428,063	1,790,171	1,428,063
Total non-current liabilities		3,198,265	2,535,771	2,957,286	2,562,142
Total liabilities		14,573,812	8,419,355	8,529,065	8,148,450
Net assets		44,438,230	36,356,601	40,443,273	33,619,897
Equity					
Issued capital	27	29,469,242	26,122,159	29,469,242	26,122,159
Reserves	28	2,422,530	2,025,530	2,422,530	2,025,530
Investment revaluation reserve	29	4,241,007	3,418,684	4,241,007	3,418,684
Retained earnings		8,305,451	4,790,228	4,310,494	2,053,524
Equity attributable to equity holders of the parent		44,438,230	36,356,601	40,443,273	33,619,897
Total equity		44,438,230	36,356,601	40,443,273	33,619,897

The above statement should be read in conjunction with the accompanying notes to the financial statements.

Statement of changes in equity for the financial year ended 30 June 2007

Consolidated	Fully paid ordinary shares	Reserves				
		General	Investment revaluation	Capital profit	Retained earnings	Equity settled benefit
	\$	\$	\$	\$	\$	\$
Balance at 1 July 2005	14,205,108	1,500,000	2,867,323	254,201	2,782,761	–
Increase from revaluation of available for sale investments	–	–	1,243,793	–	–	–
Related income tax	–	–	(373,138)	–	–	–
Net income recognised directly in equity	–	–	870,655	–	–	–
Profit for the period	–	–	–	–	5,155,546	–
Gain on sale of available for sale investments	–	–	(444,431)	–	–	–
Related income tax	–	–	125,137	–	–	–
Total recognised income and expense	–	–	551,361	–	5,155,546	–
Shares issued under share placement and share purchase plan	10,904,256	–	–	–	–	–
Shares issued under dividend reinvestment plan	1,254,314	–	–	–	–	–
Share issue costs	(256,935)	–	–	–	–	–
Related income tax	15,416	–	–	–	–	–
Provision for executive share entitlements	–	–	–	–	–	168,329
Provision for employee share acquisition plan shares	–	–	–	–	–	103,000
Payment of dividends	–	–	–	–	(3,148,079)	–
Balance at 1 July 2006	26,122,159	1,500,000	3,418,684	254,201	4,790,228	271,329
Increase from revaluation of available for sale investments	–	–	1,680,434	–	–	–
Related income tax	–	–	(451,517)	–	–	–
Net income recognised directly in equity	–	–	1,228,917	–	–	–
Profit for the period	–	–	–	–	8,143,504	–
Gain on sale of available for sale investments	–	–	(503,705)	–	–	–
Related income tax	–	–	97,111	–	–	–
Total recognised income and expense	–	–	822,323	–	8,143,504	–
Shares issued under share placement	1,762,100	–	–	–	–	–
Shares issued under dividend reinvestment plan	1,520,668	–	–	–	–	–
Shares issued under employee share acquisition scheme	102,253	–	–	–	–	–
Share issue costs	(56,759)	–	–	–	–	–
Related income tax	18,821	–	–	–	–	–
Provision for executive share entitlements	–	–	–	–	–	377,000
Provision for employee share acquisition plan shares	–	–	–	–	–	20,000
Payment of dividends	–	–	–	–	(4,628,281)	–
Balance at 30 June 2007	29,469,242	1,500,000	4,241,007	254,201	8,305,451	668,329

The above statement should be read in conjunction with the accompanying notes to the financial statements.

Statement of changes in equity for the financial year ended 30 June 2007 (cont'd)

Company	Fully paid ordinary shares	Reserves				
		General	Investment revaluation	Capital profit	Retained earnings	Equity settled benefit
	\$	\$	\$	\$	\$	\$
Balance at 1 July 2005	14,205,108	1,500,000	2,867,323	254,201	1,304,156	–
Increase from revaluation of available for sale investments	–	–	1,243,793	–	–	–
Related income tax	–	–	(373,138)	–	–	–
Net income recognised directly in equity	–	–	870,655	–	–	–
Profit for the period	–	–	–	–	3,897,447	–
Gain on sale of available for sale investments	–	–	(444,431)	–	–	–
Related income tax	–	–	125,137	–	–	–
Total recognised income and expense	–	–	551,361	–	3,897,447	–
Shares issued under share placement and share purchase plan	10,904,256	–	–	–	–	–
Shares issued under dividend reinvestment plan	1,254,314	–	–	–	–	–
Share issue costs	(256,935)	–	–	–	–	–
Related income tax	15,416	–	–	–	–	–
Provision for executive share entitlements	–	–	–	–	–	168,329
Provision for employee share acquisition plan shares	–	–	–	–	–	103,000
Payment of dividends	–	–	–	–	(3,148,079)	–
Balance at 1 July 2006	26,122,159	1,500,000	3,418,684	254,201	2,053,524	271,329
Increase from revaluation of available for sale investments	–	–	1,680,434	–	–	–
Related income tax	–	–	(451,517)	–	–	–
Net income recognised directly in equity	–	–	1,228,917	–	–	–
Profit for the period	–	–	–	–	6,885,251	–
Gain on sale of available for sale investments	–	–	(503,705)	–	–	–
Related income tax	–	–	97,111	–	–	–
Total recognised income and expense	–	–	822,323	–	6,885,251	–
Shares issued under share placement	1,762,100	–	–	–	–	–
Shares issued under dividend reinvestment plan	1,520,668	–	–	–	–	–
Shares issued under employee share acquisition scheme	102,253	–	–	–	–	–
Share issue costs	(56,759)	–	–	–	–	–
Related income tax	18,821	–	–	–	–	–
Provision for executive share entitlements	–	–	–	–	–	377,000
Provision for employee share acquisition plan shares	–	–	–	–	–	20,000
Payment of dividends	–	–	–	–	(4,628,281)	–
Balance at 30 June 2007	29,469,242	1,500,000	4,241,007	254,201	4,310,494	668,329

The above statement should be read in conjunction with the accompanying notes to the financial statements.

Cash flow statement for the financial year ended 30 June 2007

	Note	Consolidated		Company	
		2007	2006	2007	2006
		\$	\$	\$	\$
Cash flows from operating activities					
Receipts from customers		30,933,386	24,702,014	24,755,337	19,213,394
Payments to suppliers and employees		(20,564,878)	(18,017,355)	(16,528,153)	(14,307,041)
Income tax paid		(3,407,868)	(2,408,655)	(3,407,868)	(2,408,655)
Net cash provided by operating activities	38 (b)	6,960,640	4,276,004	4,819,316	2,497,698
Cash flows from investing activities					
Payment for investment securities		(1,371,233)	(4,057,762)	(1,371,233)	(4,057,762)
Proceeds on sale of investment securities		1,302,876	5,327,069	1,302,876	5,327,069
Interest received		631,091	808,789	597,177	780,431
Dividends received		329,611	358,152	329,611	358,152
Proceeds from repayment of related party loans		4,502	3,161	1,660,616	1,958,162
Payment for property, plant and equipment		(995,137)	(293,406)	(475,950)	(255,916)
Payment for intangible assets		(618,138)	(492,623)	(618,138)	(492,623)
Payment for management rights		–	(15,341,095)	–	(15,341,095)
Net cash (used in)/provided by investing activities		(716,428)	(13,687,715)	1,424,959	(11,723,582)
Cash flows from financing activities					
Proceeds from issue of equity securities		3,282,802	12,158,570	3,282,802	12,158,570
Payment for share issue cost		(56,759)	(256,935)	(56,759)	(256,935)
Dividend paid to members of the parent entity		(4,628,281)	(3,148,080)	(4,628,281)	(3,148,080)
Net cash provided by/(used in) financing activities		(1,402,238)	8,753,555	(1,402,238)	8,753,555
Net (decrease)/increase in cash held		4,841,974	(658,156)	4,842,037	(472,329)
Cash and cash equivalents at beginning of financial year		7,472,222	8,130,378	6,904,591	7,376,920
Cash and cash equivalents at end of financial year	38 (a)	12,314,196	7,472,222	11,746,628	6,904,591

The above statement should be read in conjunction with the accompanying notes to the financial statements.

Notes to the financial statements for the financial year ended 30 June 2007

1. General information

Equity Trustees Limited (the Company) is a listed public company, incorporated in Australia and operating solely in Australia. Equity Trustees Limited's registered office and its principal place of business is Level 2, 575 Bourke St, Melbourne, Victoria 3000, Australia.

2. Adoption of new and revised accounting standards

In the current year, Equity Trustees Limited and its subsidiaries (refer note 34) ("the Group") has adopted all of the new and revised Standards and Interpretations issued by the Australian Accounting Standards Board (the AASB) that are relevant to its operations and effective for the current annual reporting period. The adoption of these new and revised Standards and Interpretations has resulted in the following changes to the Group's accounting policies that have affected the amounts reported for current or prior years:

- financial guarantee contracts (AASB 2005–09 Amendment to Australian Accounting Standards).

The impact of the above change in accounting policies is as follows:

The AASB released AASB 2005–09 "Amendments to Australian Accounting Standards" in September 2005. AASB 2005–09 amends AASB 139 "Financial Instruments: Recognition and Measurement" to require certain financial guarantee contracts to be recognised in accordance with AASB 139 and measured initially at their fair values, and subsequently measured at the higher of the amount recognised as a provision and the amount initially recognised less cumulative amortisation in accordance with the Group's revenue recognition policies.

The changes introduced by AASB 2005–09 are applied by the Group with effect from the beginning of the comparative reporting period presented in this financial report (i.e. with effect from 1 July 2005). The Group is party to a financial guarantee contract where an entity in the Group has provided a financial guarantee to a bank in respect of an entity external to the Equity Trustees Group. The application of these amendments results in such financial guarantee contracts now being recognised and measured at the higher of the best estimate of the expenditure required to settle the obligation and the amount initially recognised less, where appropriate, cumulative amortisation.

The impact of this change in accounting policy on the consolidated financial report at the beginning of the comparative period is nil (the adjustment is immaterial). There is no impact on the income statement for the financial year ended 30 June 2007 (the adjustment is immaterial) (June 2006: nil). There is also no impact on the balance sheet as at 30 June 2007 (the adjustment is immaterial) (June 2006: nil). The impact on basic and diluted earnings per share is nil (2006: nil).

At the date of authorisation of the financial report, the following Standards and Interpretations were in issue but not yet effective:

AASB 7 "Financial Instruments: Disclosures" and consequential amendments to other accounting standards resulting from its issue	Effective for annual reporting periods beginning on or after 1 January 2007
AASB 101 "Presentation of Financial Statements" – revised standard	Effective for annual reporting periods beginning on or after 1 January 2007
AASB 8 "Operating Segments"	Effective for annual reporting periods beginning on or after 1 January 2009
AASB 2007–4 "Amendments to Australian Accounting Standards arising from ED 151 and Other Amendments"	Effective for annual reporting periods beginning on or after 1 July 2007
AASB Interpretation 10 "Interim Financial Reporting and Impairment"	Effective for annual reporting periods beginning on or after 1 Nov 2006
AASB Interpretation 11 "Group and Treasury Share Transactions"	Effective for annual reporting periods beginning on or after 1 March 2007
AASB Interpretation 12 "Service Concession Arrangements"	Effective for annual reporting periods beginning on or after 1 January 2008

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

2. Adoption of new and revised accounting standards (cont'd)

The directors anticipate that the adoption of these Standards and Interpretations in future periods will have no material financial impact on the financial statements of the Company or the Group. The circumstances addressed by Interpretation 10, which prohibits the reversal of certain impairment losses, do not affect either the Company's or the Group's previously reported results and accordingly, there will be no impact to these financial statements on adoption of the Interpretation. The Group accounts for share based payment arrangements where the Group receives services as consideration for its own equity instruments as equity settled therefore Interpretation 11 will not result in any changes. Interpretation 12 is not relevant.

The application of AASB 101 (revised), AASB 7, AASB 2005–10, AASB 8, and AASB 2007–4 will not affect any of the amounts recognised in the financial statements, but will change the disclosures presently made in relation to the Company's and the Group's financial instruments, the objectives, policies and processes for managing capital, and segment related disclosures.

These Standards and Interpretations will be first applied in the financial report of the Group that relates to the annual reporting period beginning after the effective date of each pronouncement, which will be the Company's annual reporting period beginning on 1 July 2007, apart from AASB 8 which will be applied for the Company's annual reporting period beginning on 1 July 2009.

3. Significant accounting policies

Statement of compliance

The financial report is a general purpose financial report which has been prepared in accordance with the Corporations Act 2001, Accounting Standards and Interpretations, and complies with other requirements of the law. Accounting Standards include Australian equivalents to International Financial Reporting Standards ("A-IFRS"). Compliance with A-IFRS ensures that the consolidated financial statements and notes of the Group comply with International Financial Reporting Standards ("IFRS"). The financial report includes the separate financial statements of the Company and the consolidated financial statements of the Group. The financial statements were authorised for issue by the directors on 27 August 2007.

Basis of preparation

The financial report has been prepared on the basis of historical cost, except for the revaluation of certain financial instruments. Cost is based on the fair values of the consideration given in exchange for assets. All amounts are presented in Australian dollars unless otherwise noted.

The following significant accounting policies have been adopted in the preparation and presentation of the financial report:

(a) Basis of consolidation

The consolidated financial statements incorporate the financial statements of the Company and entities (including special purpose entities) controlled by the Company (its subsidiaries) (referred to as "the Group" in these financial statements). Control is achieved where the Company has the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

The results of subsidiaries acquired or disposed of during the year are included in the consolidated income statement from the effective date of acquisition or up to the effective date of disposal, as appropriate.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

3. Significant accounting policies (cont'd)

(a) Basis of consolidation (cont'd)

Where necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with those used by other members of the Group.

All intra-group transactions, balances, income and expenses are eliminated in full on consolidation. In the separate financial statements of the Company, intra-group transactions ("common control transactions") are generally accounted for by reference to the existing (consolidated) book value of the items. Where the transaction value of common control transactions differ from their consolidated book value, the difference is recognised as a contribution by or distribution to equity participants by the transacting entities.

(b) Business combinations

Acquisitions of subsidiaries and businesses are accounted for using the purchase method. The cost of the business combination is measured as the aggregate of the fair values (at the date of exchange) of assets given, liabilities incurred or assumed, and equity instruments issued by the Group in exchange for control of the acquiree, plus any costs directly attributable to the business combination. The acquiree's identifiable assets, liabilities and contingent liabilities that meet the conditions for recognition under AASB 3 "Business Combinations" are recognised at their fair values at the acquisition date, except for non-current assets (or disposal groups) that are classified as held for sale in accordance with AASB 5 "Non-current Assets Held for Sale and Discontinued Operations", which are recognised and measured at fair value less costs to sell.

Goodwill arising on acquisition is recognised as an asset and initially measured at cost, being the excess of the cost of the business combination over the Group's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities recognised. If, after reassessment, the Group's interest in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities exceeds the cost of the business combination, the excess is recognised immediately in profit or loss.

(c) Cash and cash equivalents

Cash comprises cash on hand and demand deposits.

Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

(d) Comparative amounts

Comparative amounts have, where appropriate, been reclassified in the notes to the financial statements in order to ensure compatibility with amended classifications in the current reporting period. The reclassification of comparative amounts has not resulted in a change to the aggregate amounts of current assets, non-current assets, current liabilities, non-current liabilities or equity, or the profit/(loss) of the Company or Group as reported in the prior financial report.

(e) Employee benefits

A liability is recognised for benefits accruing to employees in respect of wages and salaries, annual leave, long service leave, and directors' retiring allowance when it is probable that settlement will be required and they are capable of being measured reliably. The directors' retiring allowance was frozen as at 31 December 2005 except for an annual inflation adjustment in line with the movement in CPI.

Liabilities recognised in respect of employee benefits expected to be settled within 12 months, are measured at their nominal values using the remuneration rate expected to apply at the time of settlement.

Liabilities recognised in respect of employee benefits which are not expected to be settled within 12 months are measured as the present value of the estimated future cash outflows to be made by the Group in respect of services provided by employees up to the reporting date.

Defined contribution plans

Contributions to defined contribution superannuation plans are expensed when incurred.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

3. Significant accounting policies (cont'd)

(f) Financial assets

Investments are recognised and derecognised on trade date where the purchase or sale of an investment is under a contract whose terms require delivery of the investment within the time frame established by the market concerned, and are initially measured at fair value, net of transaction costs.

Subsequent to initial recognition, investments in subsidiaries are measured at cost in the company financial statements.

Other financial assets are classified into the following specified categories: available-for-sale financial assets, and loans and receivables. The classification depends on the nature and purpose of the financial assets and is determined at the time of initial recognition.

Available-for-sale financial assets

Certain shares and investments in managed investment schemes held by the Group are classified as being available-for-sale and are stated at fair value. Fair value is determined in the manner described in note 39. Gains and losses arising from changes in fair value are recognised directly in the investment revaluation reserve with the exception of impairment losses, which are recognised directly in profit or loss. Where the investment is disposed of or is determined to be impaired, the cumulative gain or loss previously recognised in the investment revaluation reserve is included in profit or loss for the period.

Dividends on available-for-sale equity instruments are recognised in profit and loss when the Group's right to receive payments is established.

Loans and receivables

Trade receivables, loans, and other receivables that have fixed or determinable payments that are not quoted in an active market are classified as "loans and receivables". Loans and receivables are measured at amortised cost using the effective interest method less impairment. Interest is recognised by applying the effective interest rate.

The effective interest method is a method of calculating the amortised cost of a financial asset and of allocating interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset, or, where appropriate, a shorter period.

Impairment of financial assets

Financial assets, other than those at fair value through profit or loss, are assessed for indicators of impairment at each balance sheet date. Financial assets are impaired where there is objective evidence that as a result of one or more events that occurred after the initial recognition of the financial asset the estimated future cash flows of the investment have been impacted. For financial assets carried at amortised cost, the amount of the impairment is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate.

The carrying amount of the financial asset is reduced by the impairment loss directly for all financial assets with the exception of trade receivables where the carrying amount is reduced through the use of an allowance account. When a trade receivable is uncollectible, it is written off against the allowance account. Subsequent recoveries of amounts previously written off are credited against the allowance account. Changes in the carrying amount of the allowance account are recognised in profit or loss.

With the exception of available-for-sale equity instruments, if, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised, the previously recognised impairment loss is reversed through profit or loss to the extent the carrying amount of the investment at the date the impairment is reversed does not exceed what the amortised cost would have been had the impairment not been recognised.

In respect of available-for-sale equity instruments, any subsequent increase in fair value after an impairment loss is recognised directly in equity.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

3. Significant accounting policies (cont'd)

(g) Financial instruments issued by the company

Debt and equity instruments

Debt and equity instruments are classified as either liabilities or as equity in accordance with the substance of the contractual arrangement.

Financial guarantee contract liabilities

Financial guarantee contract liabilities are measured initially at their fair values and subsequently at the higher of the amount recognised as a provision and the amount initially recognised less cumulative amortisation in accordance with the revenue recognition policies described in note 3(r).

Other financial liabilities

The financial liabilities of the Group are classified as other financial liabilities. Other financial liabilities are initially measured at fair value, net of transaction costs. Other financial liabilities are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability or, where appropriate, a shorter period.

(h) Goods and services tax

Revenues, expenses and assets are recognised net of the amount of goods and services tax (GST), except:

- i. where the amount of GST incurred is not recoverable from the taxation authority, it is recognised as part of the cost of acquisition of an asset or as part of an item of expense; or
- ii. for receivables and payables which are recognised inclusive of GST.

The net amount of GST recoverable from, or payable to, the taxation authority is included as part of receivables or payables.

Cash flows are included in the cash flow statement on a gross basis. The GST component of cash flows arising from investing and financing activities which is recoverable from, or payable to, the taxation authority is classified as operating cash flows.

(i) Goodwill

Goodwill acquired in a business combination is initially measured at its cost, being the excess of the cost of the business combination over the acquirer's interest in the net fair value of the identifiable assets, liabilities and contingent liabilities recognised. Goodwill is subsequently measured at its cost less any impairment losses.

For the purpose of impairment testing, goodwill is allocated to each of the Group's cash-generating units (CGUs), or groups of CGUs, expected to benefit from the synergies of the business combination. CGUs (or groups of CGUs) to which goodwill has been allocated are tested for impairment annually, or more frequently if events or changes in circumstances indicate that goodwill might be impaired.

If the recoverable amount of the CGU (or group of CGUs) is less than the carrying amount of the CGU (or groups of CGUs), the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the CGU (or groups of CGUs) and then to the other assets of the CGU (or groups of CGUs) pro-rata on the basis of the carrying amount of each asset in the CGU (or groups of CGUs). An impairment loss recognised for goodwill is recognised immediately in profit or loss and is not reversed in a subsequent period. On disposal of an operation within a CGU, the attributable amount of goodwill is included in the determination of the profit or loss on disposal of the operation.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

3. Significant accounting policies (cont'd)

(j) Government grants

Government grants are assistance by the government in the form of transfers of resources to the Group in return for past or future compliance with certain conditions relating to the operating activities of the entity. Government grants include government assistance where there are no conditions specifically relating to the operating activities of the Group other than the requirement to operate in certain regions or industry sectors.

Government grants are not recognised until there is reasonable assurance that the Group will comply with the conditions attaching to them and the grants will be received.

Other government grants relating to income are recognised as income over the periods necessary to match them with the related costs. Government grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Group with no future related costs are recognised as income of the period in which it becomes receivable.

(k) Impairment of other tangible and intangible assets

At each reporting date, the Group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any).

Where the asset does not generate cash flows that are independent from other assets, the Group estimates the recoverable amount of the cash-generating unit to which the asset belongs. Where a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment annually and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised in profit or loss immediately, unless the relevant asset is carried at fair value, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (cash-generating unit) is increased to the revised estimate of its recoverable amount, but only to the extent that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (cash-generating unit) in prior years. A reversal of an impairment loss is recognised in profit or loss immediately, unless the relevant asset is carried at fair value, in which case the reversal of the impairment loss is treated as a revaluation increase.

(l) Income tax

Current tax

Current tax is calculated by reference to the amount of income taxes payable or recoverable in respect of the taxable profit or loss for the period. It is calculated using tax rates and tax laws that have been enacted or substantively enacted by the reporting date. Current tax for current and prior periods is recognised as a liability (or asset) to the extent that it is unpaid (or refundable).

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

3. Significant accounting policies (cont'd)

(I) Income tax (cont'd)

Deferred tax

Deferred tax is accounted for using the balance sheet liability method. Temporary differences are differences between the tax base of an asset or liability and its carrying amount in the balance sheet. The tax base of an asset or liability is the amount attributed to that asset or liability for tax purposes.

In principle, deferred tax liabilities are recognised for all taxable temporary differences. Deferred tax assets are recognised to the extent that it is probable that sufficient taxable amounts will be available against which deductible temporary differences or unused tax losses and tax offsets can be utilised.

However, deferred tax assets and liabilities are not recognised if the temporary differences giving rise to them arise from the initial recognition of assets and liabilities (other than as a result of a business combination) which affects neither taxable income nor accounting profit. Furthermore, a deferred tax liability is not recognised in relation to taxable temporary differences arising from the initial recognition of goodwill.

Deferred tax liabilities are recognised for taxable temporary differences associated with investments in subsidiaries, branches and associates, and interests in joint ventures except where the Group is able to control the reversal of the temporary differences and it is probable that the temporary differences will not reverse in the foreseeable future. Deferred tax assets arising from deductible temporary differences associated with these investments and interests are only recognised to the extent that it is probable that there will be sufficient taxable profits against which to utilise the benefits of the temporary differences and they are expected to reverse in the foreseeable future.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply to the period(s) when the asset and liability giving rise to them are realised or settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by reporting date. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Group expects, at the reporting date, to recover or settle the carrying amount of its assets and liabilities.

Deferred tax assets and liabilities are offset when they relate to income taxes levied by the same taxation authority and the company/Group intends to settle its current tax assets and liabilities on a net basis, apart from the deferred tax liability arising in relation to the investment revaluation reserve recognised directly in equity, which is shown separately.

Current and deferred tax for the period

Current and deferred tax is recognised as an expense or income in the income statement, except when it relates to items credited or debited directly to equity, in which case the deferred tax is also recognised directly in equity, or where it arises from the initial accounting for a business combination, in which case it is taken into account in the determination of goodwill or excess.

Tax consolidation

The company and all its wholly-owned Australian resident entities are part of a tax-consolidated group under Australian taxation law. Equity Trustees Limited is the head entity in the tax-consolidated group. Tax expense/income, deferred tax liabilities and deferred tax assets arising from temporary differences of the members of the tax-consolidated group are recognised in the separate financial statements of the members of the tax-consolidated group using the "separate taxpayer within group" approach by reference to the carrying amounts in the separate financial statements of each entity and the tax values applying under tax consolidation. Current tax liabilities and assets and deferred tax assets arising from unused tax losses and tax credits of the members of the tax-consolidated group are recognised by the company (as head entity in the tax-consolidated group).

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

3. Significant accounting policies (cont'd)

(l) Income tax (cont'd)

Due to the existence of a tax funding arrangement between the entities in the tax-consolidated group, amounts are recognised as payable to or receivable by the company and each member of the group in relation to the tax contribution amounts paid or payable between the parent entity and the other members of the tax-consolidated group in accordance with the arrangement. Where the tax contribution amount recognised by each member of the tax-consolidated group for a particular period is different to the aggregate of the current tax liability or asset and any deferred tax asset arising from unused tax losses and tax credits in respect of that period, the difference is recognised as a contribution from (or distribution to) equity participants.

(m) Intangible assets

Intangible assets acquired in a business combination

All potential intangible assets acquired in a business combination are identified and recognised separately from goodwill where they satisfy the definition of an intangible asset and their fair value can be measured reliably.

Management rights

Management rights relating to the acquisition of the Wealthpac master-trust business are carried at cost as a non-current intangible asset. The asset has an indefinite useful life and is accordingly not amortised but is subject to an ongoing impairment test (refer note 3(k)). Management rights relating to the acquisition of the Freedom of Choice business are carried at cost less accumulated amortisation.

(n) Leased assets

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessee. All other leases are classified as operating leases.

Operating lease payments are recognised as an expense on a straight-line basis over the lease term, except where another systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

Lease incentives

In the event that lease incentives are received to enter into operating leases, such incentives are recognised as a liability. The aggregate benefits of incentives are recognised as a reduction of rental expense on a straight-line basis, except where another systematic basis is more representative of the time pattern in which economic benefits from the leased asset are consumed.

(o) Payables

Trade payables and other accounts payable are recognised when the Group becomes obliged to make future payments resulting from the purchase of goods and services.

(p) Property, plant and equipment

Depreciation is provided on property, plant and equipment. Depreciation is calculated on a straight-line basis so as to write off the net cost or other revalued amount of each asset over its expected useful life to its estimated residual value. Leasehold improvements are depreciated over the period of the lease or estimated useful life, whichever is the shorter, using the straight line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each annual reporting period, with the effect of any changes recognised on a prospective basis.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

3. Significant accounting policies (cont'd)

(q) Provisions

Provisions are recognised when the Group has a present obligation (legal or constructive) as a result of a past event, it is probable that the Group will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at reporting date, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cashflows estimated to settle the present obligation, its carrying amount is the present value of those cashflows.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, the receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

(r) Revenue recognition

Revenue is measured at the fair value of the consideration received or receivable. Revenue is reduced for rebates and other similar allowances.

Corpus commission

Subject to a grant of probate, corpus commission is recognised as revenue based upon stage of completion.

Dividend and interest revenue

Dividend revenue from investments is recognised when the shareholder's right to receive payment has been established. Interest revenue is accrued on a time basis, by reference to the principal outstanding and at the effective interest rate applicable, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to that asset's net carrying amount.

(s) Share-based payments

Equity-settled share-based payments with employees are measured at the fair value of the equity instrument at the grant date.

The Group has two types of equity-settled share-based payments: the long term incentive Awards and the Employee Share Acquisition Plan.

Fair value of the long-term incentive Awards is measured by using an adjusted form of the Black-Scholes option pricing model that incorporates a Monte Carlo simulation analysis. The model has been modified to incorporate an estimate of the probability of achieving the performance hurdle and the number of Awards vesting.

The fair value determined at the grant date of the equity-settled share-based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest.

Where equity-settled share-based payments are intended to be made but not granted at reporting date, a provision is made in the accounts for the expected cost in relation to the reporting period.

Shares issued under the Employee Share Acquisition Plan are valued at fair value determined at the date of issue to employees and this amount is expensed in the income statement with a corresponding entry in issued capital.

The above policy is applied to all equity-settled share-based payments that were granted after 7 November 2002 that vested after 1 January 2005. There were no cash-settled share-based payments.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

4. Critical accounting judgments and key sources of estimation uncertainty

In the application of the Group's accounting policies, which are described in note 3, management is required to make judgments, estimates and assumptions about carrying values of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstance, the results of which form the basis of making the judgments. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised if the revision affects only that period, or in the period of the revision and future periods if the revision affects both current and future periods.

Key sources of estimation uncertainty

The following are the key assumptions concerning the future, and other key sources of estimation uncertainty at the balance sheet date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year.

Impairment of goodwill and management rights

Determining whether goodwill or the management rights are impaired requires an estimation of the value in use of the cash-generating units to which goodwill and the management rights have been allocated. The value in use calculation requires the entity to estimate the future cash flows expected to arise from the cash-generating unit and a suitable discount rate in order to calculate present value.

The carrying amount of goodwill is \$4,105,658 and \$19,054,358 for the management rights at 30 June 2007 (goodwill nil and management rights \$17,937,616 at 30 June 2006). No impairment has been identified (30 June 2006: nil).

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

5. Revenue

An analysis of the Group's revenue for the year, from continuing operations (there were no discontinued operations), is as follows:

	Consolidated		Company	
	2007 \$	2006 \$	2007 \$	2006 \$
Continuing operations				
Revenue from business activities	31,128,693	23,499,589	26,006,180	19,090,379
Rental revenue:				
Rental other	104,310	26,417	16,000	15,833
Interest revenue:				
Bank deposits	67,007	54,066	33,093	25,708
Investments	731,770	822,574	731,770	822,574
Dividends:				
Other entities	337,228	353,005	337,228	353,005
Gain on sale of available-for-sale investments	694,394	586,494	694,394	586,494
	1,934,709	1,842,556	1,812,485	1,803,614
Attributable to continuing operations	33,063,402	25,342,145	27,818,665	20,893,993

6. Finance cost

	Consolidated		Company	
	2007 \$	2006 \$	2007 \$	2006 \$
Other interest expense	–	2,944	–	2,944
Total interest expense	–	2,944	–	2,944
Other finance cost – makegood provision	–	(56,041)	–	(56,041)
Total finance cost	–	(53,097)	–	(53,097)
Attributable to:				
Continuing operations	–	(53,097)	–	(53,097)
Discontinued operations	–	–	–	–
	–	(53,097)	–	(53,097)

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

7. Profit for the year

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
(a) Gains and losses				
Profit/(loss) for the year has been arrived at after crediting/(charging) the following gains and losses relating to continuing operations (there were no discontinued operations):				
Gain/(loss) on disposal of property, plant and equipment	(6,450)	(2,365)	(6,450)	(2,365)
Gain/(loss) on disposal of investments	190,689	142,063	190,689	142,063
Reversal of gain/(loss) from equity on disposal of investments classified as available-for-sale	503,705	444,431	503,705	444,431
Government grants received for staff training	14,000	40,500	14,000	40,500
	687,944	584,129	687,944	584,129
(b) Other expenses				
Profit for the year includes the following expenses:				
Depreciation of non-current assets	348,598	195,804	252,351	152,913
Amortisation of non-current assets	482,104	112,245	462,104	112,245
Total depreciation and amortisation	830,702	308,049	714,455	265,158
Claims provided for and settlement of litigation	35	250,000	35	250,000
Operating lease rental expenses:				
Minimum lease payments	1,052,461	963,706	731,717	814,447
Sub-lease payments received	(104,310)	(26,417)	(16,000)	(15,833)
	948,151	937,289	715,717	798,614
Employee benefit expense:				
Post employment benefit:				
– Defined contribution plan (Superannuation)	936,886	731,260	702,926	590,261
Share-based payments:				
– Equity-settled share-based payments	500,000	271,329	500,000	271,329
Other employee benefits	11,937,780	10,483,812	9,900,076	8,872,858
	13,374,666	11,486,401	11,103,002	9,734,448

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

8. Income taxes

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
(a) Income tax expense recognised in the income statement				
Income tax expense comprises:				
Current income tax expense	3,736,473	2,526,730	3,108,201	1,981,649
Adjustments recognised in the current year in relation to the current tax of prior years	10,256	(174,103)	10,245	(174,273)
Deferred tax expense relating to the origination and reversal of temporary differences	(82,585)	(297,263)	2,525	(294,197)
Total income tax expense	3,664,144	2,055,364	3,120,971	1,513,179
The prima facie income tax expense on pre-tax accounting profit from operations reconciles to the income tax expense in the financial statements as follows:				
Profit from continuing operations	11,807,648	7,210,910	10,006,222	5,410,625
Profit from operations	11,807,648	7,210,910	10,006,222	5,410,625
Income tax expense calculated at 30%	3,542,295	2,163,273	3,001,867	1,623,188
Non-deductible expenses	205,385	164,410	202,651	162,480
Other	(93,792)	(98,216)	(93,792)	(98,216)
	3,653,888	2,229,467	3,110,726	1,687,452
(Over)/under provision for income tax expense in previous year	10,256	(174,103)	10,245	(174,273)
	3,664,144	2,055,364	3,120,971	1,513,179

The tax rate used in the above reconciliation is the corporate tax rate of 30% payable by Australian corporate entities on taxable profits under Australian tax law. There has been no change in the corporate tax rate when compared with the previous reporting period.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

8. Income taxes (cont'd)

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
(b) Income tax expense recognised directly in equity				
The following current and deferred amounts were charged directly to equity during the period:				
Current tax:				
Revaluations of available-for-sale securities	459,219	373,138	459,219	373,138
Share issue expenses deductible over 5 years	(18,821)	(15,416)	(18,821)	(15,416)
	440,398	357,722	440,398	357,722
(c) Current tax assets and liabilities				
Current tax payables:				
Income tax payable attributable to:				
Parent entity	1,905,921	1,582,531	1,905,921	1,582,531
Entities in the tax-consolidated group	–	6,611	–	6,611
	1,905,921	1,589,142	1,905,921	1,589,142
(d) Deferred tax balances				
Deferred tax assets comprise:				
Temporary differences	1,141,859	1,054,831	1,007,357	1,010,330
Deferred tax liabilities comprise:				
Temporary differences – investment revaluation	1,790,171	1,428,063	1,790,171	1,428,063

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

8. Income taxes (cont'd)

(d) Deferred tax balances (cont'd)

Taxable and deductible temporary differences arise from the following:

2007	Consolidated				
	Opening balance \$	Charged to income \$	Charged to equity \$	Acquisitions /disposals \$	Closing balance \$
Gross deferred tax liabilities:					
Available-for-sale investments	1,428,063	(97,111)	459,219	–	1,790,171
Gross deferred tax assets:					
Provisions	1,090,104	143,247	–	–	1,233,351
Expenditure deductible over 5 years	15,894	(5,297)	–	–	10,597
Property, plant and equipment	16,483	11,881	–	–	28,364
Intangible assets	(67,650)	(62,803)	–	–	(130,453)
	1,054,831	87,028	–	–	1,141,859

2006	Consolidated				
	Opening balance \$	Charged to income \$	Charged to equity \$	Acquisitions /disposals \$	Closing balance \$
Gross deferred tax liabilities:					
Available-for-sale investments	1,180,062	(125,137)	373,138	–	1,428,063
Gross deferred tax assets:					
Provisions	725,741	364,363	–	–	1,090,104
Expenditure deductible over 5 years	22,827	(6,933)	–	–	15,894
Property, plant and equipment	62,393	(45,910)	–	–	16,483
Intangible assets	(19,416)	(48,234)	–	–	(67,650)
	791,545	263,286	–	–	1,054,831

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

8. Income taxes (cont'd)

(d) Deferred tax balances (cont'd)

2007	Company				
	Opening balance \$	Charged to income \$	Charged to equity \$	Acquisitions/ disposals \$	Closing balance \$
Gross deferred tax liabilities:					
Available-for-sale investments	1,428,063	(97,111)	459,219	–	1,790,171
Gross deferred tax assets:					
Provisions	1,044,972	59,364	–	–	1,104,336
Expenditure deductible over 5 years	15,894	(5,297)	–	–	10,597
Property, plant and equipment	17,114	5,763	–	–	22,877
Intangible assets	(67,650)	(62,803)	–	–	(130,453)
	1,010,330	(2,973)	–	–	1,007,357

2006	Company				
	Opening balance \$	Charged to income \$	Charged to equity \$	Acquisitions/ disposals \$	Closing balance \$
Gross deferred tax liabilities:					
Available-for-sale investments	1,180,062	(125,137)	373,138	–	1,428,063
Gross deferred tax assets:					
Provisions	683,429	361,543	–	–	1,044,972
Expenditure deductible over 5 years	22,827	(6,933)	–	–	15,894
Property, plant and equipment	63,186	(46,072)	–	–	17,114
Intangible assets	(19,416)	(48,234)	–	–	(67,650)
	750,026	260,304	–	–	1,010,330

The Group has no unrecognised deferred tax balances.

(e) Tax consolidation

Relevance of tax consolidation to the Group

The company and its wholly-owned Australian resident entities formed a tax consolidated group with effect from 1 July 2003 and are therefore taxed as a single entity from that date. The head entity within the tax consolidated group is Equity Trustees Limited. The members of the tax consolidated group are identified at note 34.

Nature of tax funding arrangements and tax sharing agreements

Entities within the tax consolidated group have entered into a tax funding arrangement and a tax-sharing agreement with the head entity. Under the terms of the tax funding arrangement, Equity Trustees Limited and each of the entities in the tax consolidated group has agreed to pay or receive a tax equivalent payment to or from the head entity, based on the current tax liability or current tax asset of the entity. Such amounts are reflected in amounts receivable from or payable to other entities in the tax consolidated group.

The tax sharing agreement entered into between members of the tax-consolidated group provides for the determination of the allocation of income tax liabilities between the entities should the head entity default on its tax payment obligations or if an entity should leave the tax-consolidated group. The effect of the tax sharing agreement is that each member's liability for tax payable by the tax-consolidated group is limited to the amount payable to the head entity under the tax funding arrangement.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

9. Key management personnel remuneration

	Consolidated		Company	
	2007 \$	2006 \$	2007 \$	2006 \$
Short term employee benefits	1,314,684	1,117,263	1,036,532	897,263
Termination benefit	–	27,077	–	–
Post employment benefits (Superannuation)	75,686	48,556	56,826	48,556
Other long term benefits	15,854	7,104	11,195	7,104
Share awards	200,668	93,339	200,668	93,339
Employee share acquisition plan	4,910	3,972	3,928	3,972
	1,611,802	1,297,311	1,309,149	1,050,234

Full details of the remuneration of specified directors and executives for the year ended 30 June 2007 are outlined in the Directors' Report.

10. Executive Share Performance Plan

The share awards of the specified executive director and specified executives for the year ended 30 June 2007 is outlined in the Directors' Report.

11. Remuneration of auditors

	Consolidated		Company	
	2007 \$	2006 \$	2007 \$	2006 \$
Auditor of the parent entity				
Audit and review of the financial report	176,785	194,999	144,600	151,585
Other audits	41,690	8,365	41,690	8,365
Taxation services	16,115	33,230	16,115	33,230
Due diligence	35,945	–	9,500	–
	270,535	236,594	211,905	193,180

The auditor of Equity Trustees Limited is Deloitte Touche Tohmatsu.

12. Current trade and other receivables

	Consolidated		Company	
	2007 \$	2006 \$	2007 \$	2006 \$
Trade receivables (i)	2,951,955	2,755,028	2,686,380	2,562,506
Allowance for doubtful debts	(80,746)	(40,947)	(80,746)	(40,947)
Other	1,959,006	822,431	1,777,697	822,431
	4,830,215	3,536,512	4,383,331	3,343,990

(i) The average credit period for trade receivables is less than 30 days. No interest is charged on the trade receivables. An allowance has been made for estimated irrecoverable amounts relating to outstanding trade receivables as determined by a specific review of each account. During the current financial year, the allowance for doubtful debts increased by \$39,799 (2006: decrease by \$25,424) for the Group and increased by \$39,799 (2006: decrease by \$25,424) for the Company. The movement was recognised in the income statement for the current financial year.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

13. Other current financial assets

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Short term deposits	11,262,686	6,451,600	11,262,686	6,451,600
Managed investments funds	1,596,676	1,494,337	1,596,676	1,494,337
	12,859,362	7,945,937	12,859,362	7,945,937

14. Non-current trade and other receivables

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Corpus commission earned but not collected	148,214	148,214	148,214	148,214
	148,214	148,214	148,214	148,214

15. Other non-current financial assets

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Shares in controlled entities	–	–	12	12
Available-for-sale shares	6,486,898	5,149,756	6,486,898	5,149,756
Loans and mortgages	–	4,363	–	4,363
Intercompany loans	–	–	14,795,963	15,818,903
	6,486,898	5,154,119	21,282,873	20,973,034

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

16. Property, plant and equipment

	Consolidated			
	Computer & telecom equipment at cost	Leasehold improvements at cost	Office furniture & equipment at cost	Total
	\$	\$	\$	\$
Gross carrying amount				
Balance at 1 July 2005	686,219	318,677	405,629	1,410,525
Additions	233,771	–	76,055	309,826
Disposals	(161,239)	–	(48,944)	(210,183)
Balance at 1 July 2006	758,751	318,677	432,740	1,510,168
Additions	263,339	167,102	496,546	926,987
Disposals	(1,761)	–	(29,742)	(31,503)
Balance at 30 June 2007	1,020,329	485,779	899,544	2,405,652
Accumulated depreciation/amortisation and impairment				
Balance at 1 July 2005	438,165	121,068	257,012	816,245
Disposals	(159,915)	–	(47,904)	(207,819)
Depreciation expense (i)	82,062	40,969	72,773	195,804
Balance at 1 July 2006	360,312	162,037	281,881	804,230
Disposals	(302)	–	(29,667)	(29,969)
Depreciation expense (i)	149,377	77,775	121,446	348,598
Balance at 30 June 2007	509,387	239,812	373,660	1,122,859
Net book value				
As at 30 June 2006	398,439	156,640	150,859	705,938
As at 30 June 2007	510,942	245,967	525,884	1,282,793

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

16. Property, plant and equipment (cont'd)

	Company			
	Computer & telecom equipment at cost	Leasehold improvements at cost	Office furniture & equipment at cost	Total
	\$	\$	\$	\$
Gross carrying amount				
Balance at 1 July 2005	686,219	318,677	335,906	1,340,802
Additions	233,771	–	22,145	255,916
Disposals	(161,239)	–	(48,944)	(210,183)
Balance at 1 July 2006	758,751	318,677	309,107	1,386,535
Additions	263,339	167,102	45,509	475,950
Disposals	(1,761)	–	(29,742)	(31,503)
Balance at 30 June 2007	1,020,329	485,779	324,874	1,830,982
Accumulated depreciation/amortisation and impairment				
Balance at 1 July 2005	438,165	121,068	235,890	795,123
Disposals	(159,915)	–	(47,904)	(207,819)
Depreciation expense (i)	82,062	40,969	29,882	152,913
Balance at 1 July 2006	360,312	162,037	217,868	740,217
Disposals	(302)	–	(29,667)	(29,969)
Depreciation expense (i)	149,377	77,775	25,199	252,351
Balance at 30 June 2007	509,387	239,812	213,400	962,599
Net book value				
As at 30 June 2006	398,439	156,640	91,239	646,318
As at 30 June 2007	510,942	245,967	111,474	868,383
	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Aggregate depreciation recognised as an expense during the year:				
Computer & telecom equipment	149,377	82,062	149,377	82,062
Leasehold improvements	77,775	40,969	77,775	40,969
Office furniture and equipment	121,446	72,773	25,199	29,882
	348,598	195,804	252,351	152,913

No depreciation was capitalised.

(i) Depreciation expense is included in the line item "depreciation and amortisation expenses" of the income statement.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

17. Intangible assets

	Consolidated			
	Computer software	Leasehold makegood	Management rights	Total
	\$	\$	\$	\$
Gross carrying amount				
Balance at 1 July 2005	1,561,265	658,162	5,193,050	7,412,477
Additions	492,622	–	12,744,566	13,237,188
Amendment to amortisation expense	–	(348,424)	–	(348,424)
Disposals	(220,777)	–	–	(220,777)
Balance at 1 July 2006	1,833,110	309,738	17,937,616	20,080,464
Additions	583,583	100,000	1,116,742	1,800,325
Disposals	(5,460)	–	–	(5,460)
Balance at 30 June 2007	2,411,233	409,738	19,054,358	21,875,329
Accumulated amortisation and impairment				
Balance at 1 July 2005	805,770	287,946	–	1,093,716
Amortisation expense (i)	225,964	38,717	–	264,681
Amendment to amortisation expense	–	(152,436)	–	(152,436)
Disposals	(220,777)	–	–	(220,777)
Balance at 1 July 2006	810,957	174,227	–	985,184
Amortisation expense (i)	326,593	155,511	–	482,104
Disposals	(156)	–	–	(156)
Balance at 30 June 2007	1,137,394	329,738	–	1,467,132
Net book value				
As at 30 June 2006	1,022,153	135,511	17,937,616	19,095,280
As at 30 June 2007	1,273,839	80,000	19,054,358	20,408,197

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

17. Intangible assets (cont'd)

	Company			
	Computer software	Leasehold makegood	Management rights	Total
	\$	\$	\$	\$
Gross carrying amount				
Balance at 1 July 2005	1,561,265	658,162	–	2,219,427
Additions	492,622	–	–	492,622
Amendment to amortisation expense	–	(348,424)	–	(348,424)
Disposals	(220,777)	–	–	(220,777)
Balance at 1 July 2006	1,833,110	309,738	–	2,142,848
Additions	583,583	–	–	583,583
Disposals	(5,460)	–	–	(5,460)
Balance at 30 June 2007	2,411,233	309,738	–	2,720,971
Accumulated amortisation and impairment				
Balance at 1 July 2005	805,770	287,946	–	1,093,716
Amortisation expense (i)	225,964	38,717	–	264,681
Amendment to amortisation expense	–	(152,436)	–	(152,436)
Disposals	(220,777)	–	–	(220,777)
Balance at 1 July 2006	810,957	174,227	–	985,184
Amortisation expense (i)	326,593	135,511	–	462,104
Disposals	(156)	–	–	(156)
Balance at 30 June 2007	1,137,394	309,738	–	1,447,132
Net book value				
As at 30 June 2006	1,022,153	135,511	–	1,157,664
As at 30 June 2007	1,273,839	–	–	1,273,839

(i) Amortisation expense is included in the line item "depreciation and amortisation expenses" of the income statement.

Significant intangible assets

The Group holds management rights for the Wealthpac master-trust. The carrying value is \$17,937,616 (2006: \$17,937,616). These management rights have an indefinite life. During the financial year the Group acquired the management rights to the Freedom of Choice superannuation business. As outlined in note 36, the accounting for this acquisition has only provisionally been determined at reporting date. The provisional acquisition cost of the management rights is \$1,116,742 and the carrying value at 30 June 2007 is also \$1,116,742 (2006: nil).

Revision of accounting estimates

During the 2006 financial year management reassessed the amount required to be provided for makegood of the premises at 575 Bourke St, Melbourne. The revised assessment of the cost of makegood was based on a quote provided by an independent building contractor. This resulted in an amendment to the amortisation expense for that year to adjust for the change in accounting estimate. However, the adjustment should have resulted in the remaining balance of the makegood asset being written down. This adjustment for \$135,511 has been made during the 2007 financial year.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

18. Reserve fund

The Trustee Companies Act 1984, Section 36, requires that a Reserve Fund be provided, the value of which shall not be less than five-tenths of one per centum of the value of that part of the trust estates in Victoria committed to the administration of the trustee company and five-tenths of one per centum of the value of money received in Victoria for investment in a Common Fund to which Section 4 (1)(m) of the Trustee Act 1958 applies.

Section 39 (3) of the Act provides that:

In the event of the appointment of a liquidator, a receiver, a receiver and manager or an official manager of a trustee company, moneys in its reserve fund are available for the following purposes:

- (a) First, for the payment of sums due from the trustee company to estates committed to the trustee company's administration or management in Victoria;
- (b) Secondly, for the payment of sums due from the trustee company to persons in respect of moneys (not being an estate or part of an estate) paid in Victoria to the trustee company for investment in a common fund;
- (c) Thirdly, for the payment of sums due from the trustee company to estates committed to the trustee company's administration of management outside Victoria;
- (d) Fourthly, for the payment of sums due from the trustee company to persons in respect of moneys (not being an estate or part of an estate) paid outside Victoria to the trustee company for investment in a common fund; and
- (e) Fifthly, for the payment of debts of the trustee company.

19. Reserve fund investments

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Managed investment funds (current)	3,100,000	2,850,000	3,100,000	2,850,000
Share investments (non-current)	3,100,000	2,850,000	3,100,000	2,850,000
	6,200,000	5,700,000	6,200,000	5,700,000

The above investments have been appropriated to the Reserve Fund which is in excess of the Reserve Liability requirements of the Company pursuant to Section 36 of the Trustee Companies Act 1984.

The Reserve Fund calculation as at 30 June 2007 is \$6,128,103 (2006: \$5,687,768).

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

20. Goodwill

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Balance at beginning of the financial year	–	–	–	–
Amounts recognised from business combinations occurring during the year	4,105,658	–	–	–
Balance at end of the financial year	4,105,658	–	–	–

During the financial year the Group assessed the recoverable amount of goodwill and determined that no impairment had occurred.

Allocation of goodwill to cash-generating units

Goodwill has been allocated for impairment testing purposes to one group of cash-generating units, as follows:

Group of cash-generating units

Equity Trustees Superannuation Limited Group (ETSL Group)

ETSL Group comprises of Equity Trustees Superannuation Limited (ETSL) and Equity Investment Management Limited (EIML). These companies effectively operate as a single business to provide superannuation services. The recoverable amount of the ETSL Group is determined based on a value-in-use calculation which uses cash flow projections based on management's forecast covering a five-year period, together with a further 25-year period based on a conservative rate of growth. These cashflows are discounted at an appropriate risk adjusted rate. Management believes that any reasonable possible change in the key assumptions on which recoverable amount is based would not cause the aggregate carrying amount to exceed the aggregate recoverable amount of the ETSL Group.

The key assumptions used in the value-in-use calculations are the growth rate of funds under management, basis point fee levels, and expense growth rate.

21. Current trade and other payables

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Trade payables (i)	693,247	587,658	138,689	436,650
Goods and services tax payable	153,991	504,165	146,249	411,262
	847,238	1,091,823	284,938	847,912

(i) The Group's policy is to pay all invoices within 30 days of receipt. No interest charges have been incurred on trade payables.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

22. Current provisions

Consolidated					
	Claims (i)	Equity Trustees Foundation Donation (ii)	Employee Benefits (note 26)	Other (iii)	Total
	\$	\$	\$	\$	\$
Balance at 1 July 2006	423,400	68,000	1,849,080	299,447	2,639,927
Additional provisions recognised	–	110,000	–	565,292	675,292
Reductions arising from payments	–	(68,000)	–	(397,374)	(465,374)
Reductions resulting from re-measurement or settlement without cost	(173,400)	–	–	–	(173,400)
Other movements	–	–	173,644	–	173,644
Balance at 30 June 2007	250,000	110,000	2,022,724	467,365	2,850,089

Company					
	Claims (i)	Equity Trustees Foundation Donation (ii)	Employee Benefits (note 26)	Other (iii)	Total
	\$	\$	\$	\$	\$
Balance at 1 July 2006	423,400	68,000	1,795,715	299,447	2,586,562
Additional provision recognised	–	110,000	–	565,292	675,292
Reductions arising from payments	–	(68,000)	–	(397,374)	(465,374)
Reductions resulting from re-measurement or settlement without cost	(173,400)	–	–	–	(173,400)
Other movements	–	–	160,541	–	160,541
Balance at 30 June 2007	250,000	110,000	1,956,256	467,365	2,783,621

- (i) The claim provision represents the present value of the directors' best estimate of the future outflow of economic benefits that will be required to settle the current outstanding issue that has been provided for.
- (ii) The Equity Trustees Foundation donation provision is the directors' best estimate of the amount that will be donated to the Equity Trustees Foundation in accordance with the Group's policy of donating one percent of before tax operating profit (excluding profit on sale of investments).
- (iii) Other provision includes the directors' best estimate of amounts required to meet fringe benefit tax and other trade payment obligations that are owing but cannot be fully quantified at year end.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

23. Other current liabilities

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Other current liabilities				
Corpus commission collected but not earned	407,594	387,849	407,594	387,849
Owing to vendor – Freedom of Choice business	5,175,000	–	–	–
Other	189,705	174,843	189,705	174,843
	5,772,299	562,692	597,299	562,692

24. Non-current provisions

Consolidated					
	Claims	Makegood (i)	Employee Benefits (note 26)	Other	Total
	\$	\$	\$	\$	\$
Balance at 1 July 2006	–	376,488	696,225	–	1,072,713
Additional provisions recognised	–	100,000	–	–	100,000
Other movements	–	–	33,580	–	33,580
Balance at 30 June 2007	–	476,488	729,805	–	1,206,293

Company					
	Claims	Makegood (i)	Employee Benefits (note 26)	Other	Total
	\$	\$	\$	\$	\$
Balance at 1 July 2006	–	376,488	633,089	–	1,009,577
Additional provisions recognised	–	–	–	–	–
Other movements	–	–	33,036	–	33,036
Balance at 30 June 2007	–	376,488	666,125	–	1,042,613

(i) The makegood provision represents the present value of the directors' best estimate of the future outflow of economic benefits that will be required to settle the Group's obligations to makegood its leased premises at the end of the leases.

25. Other non-current liabilities

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Amounts owing to controlled entity	–	–	89,507	89,507
Lease incentive	166,806	–	–	–
Corpus commission collected but not earned	34,995	34,995	34,995	34,995
	201,801	34,995	124,502	124,502

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

26. Employee benefits

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
The aggregate employee benefits liability recognised and included in the financial statements is as follows:				
Provision for employee benefits:				
Current (note 22)				
– Annual leave	342,647	319,738	277,193	267,051
– Long service leave	31,268	36,323	30,254	35,645
– Bonus	1,477,315	1,260,171	1,477,315	1,260,171
– Directors' retiring allowance	171,494	232,848	171,494	232,848
	2,022,724	1,849,080	1,956,256	1,795,715
Non-current (note 24)				
– Annual leave	203,315	221,509	165,017	188,090
– Long service leave	293,203	265,528	267,821	235,811
– Directors' retiring allowance	233,287	209,188	233,287	209,188
	729,805	696,225	666,125	633,089
	2,752,529	2,545,305	2,622,381	2,428,804

27. Issued capital

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
7,827,563 fully paid ordinary shares (2006: 7,683,444)	29,469,242	26,122,159	29,469,242	26,122,159

Changes to the then Corporations Law abolished the authorised capital and par value concept in relation to share capital from 1 July 1998. Therefore, the company does not have a limited amount of authorised capital and issued shares do not have a par value.

Fully paid ordinary shares

	2007		2006	
	No.	\$	No.	\$
Balance at beginning of financial year	7,683,444	26,122,159	6,480,850	14,205,108
Shares issued under share placement and share purchase plan	67,643	1,762,100	1,101,440	10,904,256
Shares issued under employee share scheme	5,665	102,253	–	–
Shares issued under dividend reinvestment plan (DRP)	70,811	1,520,668	101,154	1,254,314
Share issue costs	–	(37,938)	–	(241,519)
Balance at end of financial year	7,827,563	29,469,242	7,683,444	26,122,159

Fully paid ordinary shares carry one vote per share and carry the right to dividends.

Share Awards

In accordance with the provisions of the Equity Trustees Limited Executive Performance Share Plan 1999 (the Plan), as at 30 June 2007, the Managing Director and eligible executives have share entitlements over 92,508 ordinary shares (2006: 48,998), in aggregate. Further details of the Plan are contained in the remuneration report within the Directors' Report.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

28. Reserves

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
General (i)	1,500,000	1,500,000	1,500,000	1,500,000
Employee equity-settled benefits (ii)	668,329	271,329	668,329	271,329
Capital profits (iii)	254,201	254,201	254,201	254,201
	2,422,530	2,025,530	2,422,530	2,025,530

The movement in the above reserve accounts is shown in the statement of changes in equity.

(i) General reserve

The general reserve was established in the 1980s. There is no policy regarding periodic transfers to or from this reserve to retained earnings.

(ii) Employee equity-settled benefits reserve

The employee equity-settled benefits reserve arises on the granting of share entitlements to eligible employees under the Equity Trustees Limited Executive Performance Share Plan 1999 (the Plan) (refer Directors' Report) and on the provision for shares to be issued to staff under the Employee Share Acquisition Plan (ESAP). The ESAP is in place to allow eligible employees to participate in share allotments as approved by the Board on an on-going basis as deemed appropriate. The Board has approved the issue of shares under the ESAP in relation to the financial year ended 30 June 2007 but as at that date these shares had not been issued. Amounts are transferred out of this reserve and into issued capital when shares are issued under the Plan or when shares are granted under the ESAP.

(iii) Capital profits reserve

The capital profits reserve was established on the transfer of profits arising from capital transactions. There is no policy regarding periodic transfers to or from this reserve to retained earnings.

29. Investment revaluation reserve

The movement in the investment revaluation reserve account is shown in the statement of changes in equity.

The investment revaluation reserve arises on the revaluation of investment financial assets that are accounted for as available-for-sale (refer note 3(f)). Where a revalued asset is sold, that part of the revaluation reserve that relates to the sold asset is transferred to the income statement and where a revalued asset is impaired, the portion of the reserve which exceeds the fair value of the impaired asset is transferred to the income statement.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

30. Earnings per share

Consolidated		
	2007 Cents per share	2006 Cents per share
Basic earnings per share ¹	105.18	69.94
Total basic earnings per share	105.18	69.94
Diluted earnings per share ¹	104.28	69.73
Total diluted earnings per share	104.28	69.73

¹ No discontinued operations

Consolidated		
Basic earnings per share	2007 \$	2006 \$
The earnings and weighted average number of ordinary shares used in the calculation of basic earnings per share are as follows:		
Earnings ¹	8,143,504	5,155,546
	2007 No.	2006 No.
Weighted average number of ordinary shares for the purposes of basic earnings per share	7,742,378	7,371,590

¹ No discontinued operations

Consolidated		
Diluted earnings per share	2007 \$	2006 \$
The earnings and weighted average number of ordinary shares used in the calculation of diluted earnings per share are as follows:		
Earnings ¹	8,143,504	5,155,546
	2007 No.	2006 No.
Weighted average number of ordinary shares for the purposes of diluted earnings per share	7,809,214	7,393,847

¹ No discontinued operations

The weighted average number of ordinary shares for the purposes of diluted earnings per share reconciles to the weighted average number of ordinary shares used in the calculation of basic earnings per share as follows:

Consolidated		
	2007 No.	2006 No.
Weighted average number of ordinary shares used in the calculation of basic earnings per share	7,742,378	7,371,590
Employee share entitlements	66,836	22,257
Weighted average number of ordinary shares used in the calculation of diluted earnings per share	7,809,214	7,393,847

There were no converted, lapsed, or cancelled potential ordinary shares included in the calculation of diluted earnings per share.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

31. Dividends

	2007		2006	
Recognised amounts	Cents per share	\$	Cents per share	\$
Fully paid ordinary shares				
Interim dividend: Fully-franked (Prior year: Fully-franked)	30	2,321,548	20	1,527,866
Final dividend: Fully-franked (Prior year: Fully-franked)	30	2,306,733	25	1,620,213
	60	4,628,281	45	3,148,079
Unrecognised amounts				
Fully paid ordinary shares				
Final dividend: Fully-franked (Prior year: Fully-franked)	45	3,522,403	30	2,306,733

	Company	
	2007	2006
	\$	\$
Adjusted franking account balance	5,825,286	4,262,870
Impact on franking account balance of dividends not recognised	1,509,601	988,560

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

32. Commitments for expenditure

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
(a) Capital expenditure commitments				
Plant and equipment				
Not longer than 1 year	140,650	476,673	140,650	–

(b) Operating lease commitments

(i) There are two non-cancellable property leases with rent payable in advance as follows:

- Expiring 14 December 2009 with lease payment increases of 5% p.a. and an option to renew at the end of the period for a further seven years.
- Expiring 30 June 2011, in relation to a controlled entity.

(ii) A number of equipment leases are in existence with expiry dates to April 2010.

There are 2 copier leases which have minimum monthly lease payments and additional charges if usage exceeds a set number of monthly prints.

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Non-cancellable operating lease payments				
Not longer than 1 year	947,669	920,904	675,771	659,464
Longer than 1 year and not longer than 5 years	1,928,456	2,875,263	1,045,750	1,720,660
	2,876,125	3,796,167	1,721,521	2,380,124

In respect of non-cancellable operating leases the following liabilities have been recognised:

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Lease incentives				
Current	–	–	–	–
Non-current	166,806	–	–	–
	166,806	–	–	–

The Group has no onerous lease contracts.

(iii) There is one non-cancellable operating property sublease which expires 30 June 2011.

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Non-cancellable operating lease receivables				
Not longer than 1 year	46,747	44,949	–	–
Longer than 1 year and not longer than 5 years	48,616	95,363	–	–
	95,363	140,312	–	–

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

33. Contingent liabilities and assets

Contingent liabilities exist in respect of certain trust and estate accounts that are overdrawn, however, these contingent liabilities are mitigated by the assets held by these trust and estate accounts which are considered ample to cover any contingent liability.

In the previous financial year the Group disclosed the following contingent liabilities:

- \$20,000 relating to a bank guarantee for a performance bond in relation to the holding of an Australian Financial Services licence.
- \$500,000 relating to a bank guarantee in relation to its non-broker participation with the Australian Stock Exchange.
- \$151,376 in relation to a performance bond for a controlled entity's building lease.

As outlined in note 2, the AASB released AASB 2005–09 "Amendments to Australian Accounting Standards" in September 2005. AASB 2005–09 amends AASB 139 "Financial Instruments: Recognition and Measurement" to require certain financial guarantee contracts to be recognised in accordance with AASB 139 and measured initially at their fair values, and subsequently measured at the higher of the amount recognised as a provision and the amount initially recognised less cumulative amortisation in accordance with the Group's revenue recognition policies. The contingent liabilities disclosed in the prior year for the bank guarantees and performance bond are now recognised in accordance with the amendments introduced by AASB 2005–09.

As outlined in note 2 the amounts recognised under this change of accounting policy are nil as the adjustments are immaterial.

Apart from the disclosures above, the above contingent liabilities are unchanged from 30 June 2006.

There are no contingent assets (2006: nil)

34. Subsidiaries

Name of entity	Country of incorporation	Ownership interest	
		2007	2006
Parent entity			
Equity Trustees Limited	Australia		
Subsidiaries			
Equity Nominees Limited	Australia	100%	100%
Equity Investment Management Limited	Australia	100%	100%
Equity Trustees Superannuation Limited	Australia	100%	100%

(i) Equity Trustees Limited is the head entity within the tax consolidated group.

(ii) All the above subsidiaries are members of the tax consolidated group.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

35. Segment information

	2007 \$	2006 \$
Segment revenues		
Funds Management	14,129,498	11,885,764
Trustee Services and Responsible Entity	16,999,195	11,613,825
Total all segments	31,128,693	23,499,589
Unallocated ¹	1,934,709	1,842,556
Consolidated	33,063,402	25,342,145
¹ Unallocated includes the following:		
Gain on sale of investments	694,394	586,494
Other investment income	1,240,315	1,256,062
Total unallocated	1,934,709	1,842,556
All segment revenues are from external sales		
Segment result		
Funds Management	7,319,231	7,096,354
Trustee Services and Responsible Entity	11,552,614	7,541,211
Total all segments	18,871,845	14,637,565
Unallocated ²	(7,064,197)	(7,426,655)
Profit before income tax expense	11,807,648	7,210,910
Income tax expense	(3,664,144)	(2,055,364)
Profit after income tax expense	8,143,504	5,155,546
² Unallocated includes the following:		
Gains/(loss) on sale of investments	694,394	586,494
Other investment income	1,240,315	1,256,062
Business support services	(8,998,906)	(9,269,211)
Total unallocated	(7,064,197)	(7,426,655)

	Assets		Liabilities	
	2007 \$	2006 \$	2007 \$	2006 \$
Segment assets and liabilities				
Funds Management	26,278,921	19,655,287	6,134,255	430,941
Trustee Services and Responsible Entity	2,821,688	2,446,920	685,818	1,368,878
Total of all segments	29,100,609	22,102,207	6,820,073	1,799,819
Unallocated	29,911,433	22,673,749	7,753,739	6,619,536
Consolidated	59,012,042	44,775,956	14,573,812	8,419,355

The acquisition of segment assets, depreciation and amortisation of segment assets and other "non-cash" expenses have not been disclosed as these are attributed to the Group as a whole and not to any particular segment.

Geographical Segments

The Group operates solely in Australia. The Australian market is not divided into further geographic segments as the Group's financial services products are available throughout Australia and the geographic location of the Group's business does not have a significant impact on risk.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

36. Acquisition of business

Name of business acquired	Principal activity	Date of acquisition	Proportion acquired	Cost of acquisition
2007				
Freedom of Choice Superannuation Master Fund and Investor Directed Portfolio Service (IDPS)	Superannuation fund and IDPS	29/6/07	100%	\$5,222,400
2006				
Nil				

The Freedom of Choice business comprises of the right to manage the Freedom of Choice Superannuation Master Fund and IDPS. The Group has acquired 100% of these rights.

The assets in the Freedom of Choice business acquired were internally generated intangible assets relating to the existing customer base and existing customer relationships. These intangible assets did not have a book value in the accounts of the vendor. The fair value of these intangible assets on acquisition is \$1,116,742 and the balance of the acquisition is goodwill of \$4,105,658.

Goodwill arose on the acquisition of the Freedom of Choice business because the acquisition price included amounts relating to the benefit of expected synergies, funds under management and revenue growth, ability to enhance distribution, future market developments and the capabilities of the staff transferring with the business. These benefits are not recognised separately from goodwill as the future economic benefits arising from them cannot be reliably measured.

The initial accounting for the acquisition of the Freedom of Choice Superannuation Master Fund and IDPS has only been provisionally determined at reporting date. At the date of finalisation of this financial report, the full purchase price is not known and the fair value valuations have not been finalised. The value of goodwill noted above has therefore only been provisionally determined based on directors' best estimate of the likely final purchase price.

The Freedom of Choice business will be acquired for cash. The purchase price for this business is payable in three tranches. The first tranche of \$2,500,000 was paid 11 July 2007. The second tranche of \$1,250,000 is payable on 30 October 2007. The third tranche is payable on 30 October 2008 and is estimated to be \$1,425,000. The final tranche will be adjusted by a formula that takes into account changes in funds under management over the period from 30 October 2007 to 30 October 2008. The balance of the cost of acquisition is capitalised acquisition costs of \$47,400.

As the Freedom of Choice business was acquired on 29 June 2007 no amounts have been included in the net profit for the period to 30 June 2007 in relation to this acquisition.

The directors of the Group consider that providing pro forma numbers representing an approximate measure of the performance of the combined Group on an annualised basis would not be in the best interests of the Group as this information is commercially sensitive. Therefore, no disclosure has been made.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

37. Related party disclosures

(a) Equity interests in related parties

Details of the percentage of ordinary shares held in subsidiaries are disclosed in note 34 to the financial statements. The Company does not hold any interests in associates, joint ventures, or other related parties.

(b) Key management personnel remuneration

Details of key management personnel remuneration are disclosed in the Directors' Report.

(c) Loan disclosures

The Group had nil related party loans as at 30 June 2007 (2006: \$4,363).

(d) Key management personnel equity holdings

Fully paid ordinary shares of Equity Trustees Limited

	Balance at 1 July 2006	Net change	Balance at 30 June 2007	Balance held nominally
	No.	No.	No.	No.
2007				
H H Kalman	6,387	2,209	8,596	—
T Ryan	940	81	1,021	—
S R Manuell	937	82	1,019	—
P B Maddox	937	82	1,019	—
A D Young	915	55	970	—

No ordinary shares were granted as remuneration or received on exercise of options during the year.

	Balance at 1 July 2005	Net change	Balance at 30 June 2006	Balance held nominally
	No.	No.	No.	No.
2006				
H H Kalman	878	5,509	6,387	—
R P Dillon	2,031	1,089	3,120	—
T Ryan	417	523	940	—
S R Manuell	415	522	937	—
P B Maddox	415	522	937	—

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

37. Related party disclosures (cont'd)

(d) Key management personnel equity holdings (cont'd)

Entitlements to shares of Equity Trustees Limited issued under the Executive Performance Share Plan 1999

	Balance at 1 July 2006	Granted as remuneration	Balance at 30 June 2007
	No.	No.	No.
2007			
Director			
P J Williams	15,190	12,967	28,157
Executives			
T Ryan	7,051	5,894	12,945
H H Kalman	7,051	5,894	12,945
S R Manuell	6,751	5,501	12,252
P B Maddox	6,319	5,134	11,453
A D Young	–	–	–

	Balance at 1 July 2005	Granted as remuneration	Balance at 30 June 2006
	No.	No.	No.
2006			
Director			
P J Williams	–	15,190	15,190
Executives			
T Ryan	–	7,051	7,051
H H Kalman	–	7,051	7,051
S R Manuell	–	6,751	6,751
P B Maddox	–	6,319	6,319
R P Dillon	–	–	–

As at 30 June 2007 none of the shares had vested and none had been issued (2006: nil).

All share entitlements issued to eligible executives during the financial year were made in accordance with the provisions of the Equity Trustees Limited Executive Performance Share Plan 1999 (the Plan).

Further details of the Plan and of share entitlements granted during the financial year are contained in the remuneration report within the Directors' Report.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

37. Related party disclosures (cont'd)

(e) Vested shares awards

No share awards vested to employees (2006: nil).

	Consolidated	
	2007	2006
(f) Other transactions with specified directors and specified executives	\$	\$
The profit from operations includes the following items of revenue and expense that resulted from transactions other than remuneration, loans or equity holdings, with specified directors or their personally-related entities:		
Consulting fees paid to a personally-related entity of a director of a controlled entity	26,532	10,000
Total recognised as expenses	26,532	10,000

Apart from the above there were no other transactions during the year ended 30 June 2007 with specified directors and specified executives, or their personally-related entities.

(g) Transactions with other related parties.

The Company had an interest free intercompany account with each of its controlled entities.

The amounts owed to the Company by its controlled entities are disclosed in note 15.

The Company and its controlled entities have entered into a tax sharing arrangement, refer note 8.

All other transactions between the company and its controlled entities took place on normal commercial terms and conditions.

A controlled entity acts as trustee for the Wealthpac Super Access Fund from which it receives administration fees. These fees are contractually agreed with members based on a percentage of assets under administration.

A controlled entity acts as the trustee for Access Insurance Trust which facilitates the collection and reimbursement of group life administration fees from the Wealthpac master-trust to the Trustee. The controlled entity pays GST instalments and collects GST receivable on behalf of the Access Insurance Trust.

Apart from the above disclosures, all related party transactions took place on normal commercial terms and conditions.

(h) Parent Entity

The parent entity of the Group is Equity Trustees Limited. The ultimate Australian parent entity and ultimate parent entity is Equity Trustees Limited.

(i) Investments in Managed Investment Schemes

Included in the investment portfolio of the Company are interest bearing investments in managed investment schemes where the Company acts as responsible entity. These investments are made on normal commercial terms and conditions.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

38. Notes to the cash flow statement

(a) Reconciliation of cash and cash equivalents

For the purpose of the cash flow statement, cash includes cash on hand and in banks and investments in money market instruments, net of outstanding bank overdrafts. Cash at the end of the financial year as shown in the cash flow statement is reconciled to the related items in the Balance Sheet as follows:

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Cash and cash equivalents	1,051,510	1,020,622	483,942	452,991
Other current financial assets – short term deposits	11,262,686	6,451,600	11,262,686	6,451,600
	12,314,196	7,472,222	11,746,628	6,904,591

(b) Reconciliation of profit for the period to net cash flows from operating activities

	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Profit for the period	8,143,504	5,155,546	6,885,251	3,897,447
(Profit)/loss on sale of investments	(694,394)	(586,494)	(694,394)	(586,494)
Depreciation and amortisation of non-current assets	830,702	308,049	714,455	265,158
(Profit)/loss on sale of plant and equipment	6,450	2,365	6,450	2,365
Equity-settled share-based payments	500,000	271,329	500,000	271,329
Interest income received and receivable	(798,777)	(876,640)	(764,863)	(848,282)
Dividends received and receivable	(337,228)	(353,005)	(337,228)	(353,005)
Increase/(decrease) in current tax liability	316,779	(105,422)	316,779	(105,422)
Increase/(decrease) in deferred tax liability	362,109	(248,001)	362,109	(248,001)
(Increase)/decrease in deferred tax asset	2,973	263,286	2,973	260,304
(Increase)/decrease in assets:				
Current receivables	(1,874,380)	(691,471)	(1,580,254)	(623,672)
Other current assets	(4,916,653)	389,869	465,037	389,869
Non-current receivables	(109,163)	(500,772)	(633,174)	(500,772)
Other non-current assets	1,390	(719,279)	–	(713,941)
Increase/(decrease) in liabilities:				
Current payables	2,969,866	569,237	113,600	499,186
Current provisions	(4,676)	(18,359)	(18,322)	(18,359)
Other current liabilities	19,745	313,445	19,745	200,445
Non-current payables	286,113	–	–	–
Non-current provisions	(176,739)	456,195	(176,739)	461,542
Other non-current liabilities	2,433,019	646,126	(362,109)	248,001
Net cash flows from operating activities	6,960,640	4,276,004	4,819,316	2,497,698

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

38. Notes to the cash flow statement (cont'd)

(c) Non-cash financing activities

There have been nil non-cash financing activities (2006: nil).

(d) Business acquired

During the financial year, the Group acquired the Freedom of Choice Superannuation Master Fund and Investor Directed Portfolio Service (IDPS). The net cash outflow on this acquisition during this financial year was nil. Refer note 36 for further details regarding this acquisition including details of the cash payments to be made in three tranches.

39. Financial instruments

(a) Financial risk management objectives

The Group's main financial risk exposures relate to market and interest rate risk as these could impact the Group's investment assets and revenue streams. The Group does not have any borrowings. The Group has a number of committees that manage its financial risks. These include investment and due diligence committees. The Group does not enter into or trade financial instruments for speculative purposes, and the Group does not have any derivative instruments. The Group does not use hedging to manage its financial risks. Compliance with policies and exposure limits is reviewed by the Audit and Compliance Committee.

(b) Significant accounting policies

Details of the significant accounting policies and methods adopted, including the criteria for recognition, the basis of measurement and the basis on which income and expenses are recognised, in respect of each class of financial asset, financial liability and equity instrument are disclosed in note 3 to the financial statements.

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

39. Financial instruments (cont'd)

(c) Interest rate risk

The following table details the Group's exposure to interest rate risk as at the reporting date.

Consolidated	Average Interest Rate	Variable Interest Rate	Fixed Maturity Dates			Non Interest Bearing	Total
			Less than 1 Year	1 to 5 Years	More than 5 Years		
	%	\$	\$	\$	\$	\$	\$
2007							
Financial Assets							
Cash, short term deposits	6.20	12,314,196					12,314,196
Receivables – trade						2,951,955	2,951,955
Receivables – other						27,445	27,445
Managed funds*	6.45	4,696,676					4,696,676
Share investments*						9,586,898	9,586,898
Total		17,010,872				12,566,298	29,577,170
Financial Liabilities							
Trade payables						693,247	693,247
Other payables						5,175,000	5,175,000
Total						5,868,247	5,868,247
2006							
Financial Assets							
Cash, short term deposits	5.31	7,472,222					7,472,222
Receivables – trade						2,755,028	2,755,028
Managed funds*	4.44	4,344,337					4,344,337
Share investments*						7,999,756	7,999,756
Loans/mortgages	4.50				4,363		4,363
Total		11,816,559			4,363	10,754,784	22,575,706
Financial Liabilities							
Trade payables						587,658	587,658
Total						587,658	587,658

*includes reserve fund

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

39. Financial instruments (cont'd)

(c) Interest rate risk (cont'd)

The following table details the Company's exposure to interest rate risk as at the reporting date.

Company	Average Interest Rate	Variable Interest Rate	Fixed Maturity Dates			Non Interest Bearing	Total
			Less than 1 Year	1 to 5 Years	More than 5 Years		
	%	\$	\$	\$	\$	\$	\$
2007							
Financial Assets							
Cash, short term deposits	6.43	11,746,628					11,746,628
Receivables – trade						2,686,380	2,686,380
Receivables – other						27,445	27,445
Managed funds*	6.45	4,696,676					4,696,676
Share investments*						9,586,898	9,586,898
Total		16,443,304				12,300,723	28,744,027
Financial Liabilities							
Trade payables						138,689	138,689
Total						138,689	138,689
2006							
Financial Assets							
Cash, short term deposits	5.51	6,904,591					6,904,591
Receivables – trade						2,562,506	2,562,506
Managed funds*	4.44	4,344,337					4,344,337
Share investments*						7,999,756	7,999,756
Loans/mortgages	4.50				4,363		4,363
Total		11,248,928			4,363	10,562,262	21,815,553
Financial Liabilities							
Trade payables						436,650	436,650
Total						436,650	436,650

*includes reserve fund

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

39. Financial instruments (cont'd)

(d) Credit risk management

Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. The Group has adopted a policy of only dealing with creditworthy counterparties and obtaining sufficient collateral where appropriate, as a means of mitigating the risk of financial loss from defaults.

Trade accounts receivable consist of a large number of customers. Ongoing credit evaluation is performed on the financial condition of accounts receivable.

The Group does not have any significant credit risk exposure to any single counterparty or any group of counterparties having similar characteristics. The credit risk on liquid funds is limited because the Group holds its liquid funds with counterparties that are banks with high credit-ratings assigned by international credit-rating agencies and in managed investment schemes which have a low risk of default. As outlined in note 37 (i), included in the investment portfolio of the Company are interest bearing investments in managed investment schemes where the Company acts as responsible entity. Although the Company has a prima facie credit exposure from these investments, this risk is not significant due to the existence of suitable controls including the monitoring by the investment committee of the quality and security of these investments.

The carrying amount of financial assets recorded in the financial statements, net of any allowances for losses, represents the Group's maximum exposure to credit risk without taking account of the value of any collateral obtained.

Except as detailed in the following table, the carrying amount of financial assets recorded in the financial statements, net of any allowances for losses, represents the Company's and Group's maximum exposure to credit risk without taking account of any collateral obtained:

	Maximum credit risk			
	Consolidated		Company	
	2007	2006	2007	2006
	\$	\$	\$	\$
Financial assets and other credit exposures				
Performance bond for AFSL licence – controlled entity	20,000	20,000	20,000	20,000
Performance bond for lease – controlled entity	151,376	151,376	151,376	151,376
Bank guarantee – non-broker participation with ASX	500,000	500,000	500,000	500,000
	671,376	671,376	671,376	671,376

Notes to the financial statements for the financial year ended 30 June 2007 (cont'd)

39. Financial instruments (cont'd)

(e) Fair value of financial instruments

The directors consider that the carrying amount of financial assets and financial liabilities recorded in the financial statements approximates their fair values.

The fair values and net fair values of financial assets and financial liabilities are determined as follows:

- the fair value of financial assets and financial liabilities with standard terms and conditions and traded on active liquid markets are determined with reference to quoted market prices (managed investment funds are valued using daily published unit prices);
- the fair value of other financial assets and financial liabilities are determined in accordance with generally accepted pricing models based on discounted cash flow analysis; and

The Group's investment portfolio assets are accounted for as available-for-sale financial assets (refer note 3 (f)). In relation to these financial assets, transaction costs are included in the determination of net fair value.

(f) Liquidity risk management

The Group manages liquidity risk by maintaining adequate reserves and banking facilities, and also monitors the cashflow position.

40. Subsequent events

There have been no material subsequent events (2006: nil).

Independent audit report to the members of Equity Trustees Limited



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Report on the Financial Report and AASB 124 Compensation Disclosures in the Directors' Report

We have audited the accompanying financial report of Equity Trustees Limited, which comprises the balance sheet as at 30 June 2007, and the income statement, cash flow statement and statement of changes in equity for the year ended on that date, a summary of significant accounting policies, other explanatory notes and the directors' declaration of the consolidated entity comprising the company and the entities it controlled at the year's end or from time to time during the financial year as set out on pages 56 to 104.

We have also audited the compensation disclosures contained in the directors' report. As permitted by the *Corporations Regulations 2001*, the company has disclosed information about the compensation of key management personnel ("compensation disclosures") as required by paragraphs Aus 25.4 to Aus 25.7.2 of Accounting Standard AASB 124 *Related Party Disclosures* ("AASB 124"), under the heading "remuneration report" on pages 45 to 50 of the directors' report, and not in the financial report.

Directors' Responsibility for the Financial Report and the AASB 124 Compensation Disclosures Contained in the Directors' Report

The directors of the company are responsible for the preparation and fair presentation of the financial report in accordance with Australian Accounting Standards (including the Australian Accounting Interpretations) and the *Corporations Act 2001*. This responsibility includes establishing and maintaining internal control relevant to the preparation and fair presentation of the financial report that is free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances. The directors are also responsible for the compensation disclosures contained in the directors' report. In Note 3, the directors also state, in accordance with Accounting Standard AASB 101 *Presentation of Financial Statements*, that compliance with the Australian equivalents to International Financial Reporting Standards ensures that the consolidated financial statements and notes comply with International Financial Reporting Standards.

Auditor's Responsibility

Our responsibility is to express an opinion on the financial report and compensation disclosures contained in the directors' report based on our audit. We conducted our audit in accordance with Australian Auditing Standards. These Auditing Standards require that we comply with relevant ethical requirements relating to audit engagements and plan and perform the audit to obtain reasonable assurance whether the financial report is free from material misstatement and the compensation disclosures comply with AASB 124.

Member of
Deloitte Touche Tohmatsu

Independent audit report to the members of Equity Trustees Limited (cont)

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial report and the compensation disclosures contained in the directors' report. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial report and the compensation disclosures contained in the directors' report, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial report and the compensation disclosures contained in the directors' report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial report and the compensation disclosures contained in the directors' report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Auditor's Independence Declaration

In conducting our audit, we have complied with the independence requirements of the *Corporations Act 2001*.

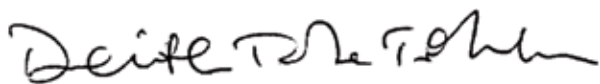
Auditor's Opinion on the Financial Report

In our opinion:

- (a) the financial report of Equity Trustees Limited is in accordance with the *Corporations Act 2001*, including:
 - (i) giving a true and fair view of the company's and consolidated entity's financial position as at 30 June 2007 and of their performance for the year ended on that date; and
 - (ii) complying with Australian Accounting Standards (including the Australian Accounting Interpretations) and the *Corporations Regulations 2001*; and
- (b) the consolidated financial statements and notes also comply with International Financial Reporting Standards as disclosed in Note 3.

Auditor's Opinion on the AASB 124 Compensation Disclosures Contained in the Directors' Report

In our opinion, the compensation disclosures that are contained on pages 45 to 50 under the heading "remuneration report" of the directors' report, comply with paragraphs Aus 25.4 to Aus 25.7.2 of Accounting Standard AASB 124 *Related Party Disclosures*.



DELOITTE TOUCHE TOHMATSU



Peter A Caldwell

Partner

Chartered Accountants

Melbourne, 27 August 2007

Statement of Shareholdings

The company's shares are listed on the Australian Stock Exchange.

The issued capital of the company as at 31 August 2007 comprising 7,831,391 fully paid ordinary shares is held by 1,253 shareholders as follows:

SIZE OF HOLDING	HOLDERS OF ORDINARY SHARES
1 – 1,000*	552
1,001 – 5,000	478
5,001 – 10,000	117
10,001 – 100,000	94
100,001 and over	12
	1,253

*Number of shareholders holding less than a marketable parcel (\$500) based on the market price of \$30.50 as at 31 August 2007 was 11

TWENTY LARGEST SHAREHOLDERS AS AT 31 AUGUST 2007	NO. OF SHARES	%
1. Permanent Trustee Company Limited	1,041,567	13.30
2. Equity Nominees Limited	782,358	9.99
3. Milton Corporation Limited	219,800	2.81
4. Citicorp Nominees Pty Limited	215,946	2.76
5. ANZ Nominees Limited	210,890	2.69
6. MLEQ Nominees Pty Limited	200,000	2.55
7. Australian Foundation Investment Company Limited	190,000	2.43
8. ANZ Nominees Limited	165,529	2.11
9. Mirrabooka Investments Limited	132,441	1.69
10. Amcil Limited	130,088	1.66
11. Warnford Nominees Pty Limited	118,000	1.51
12. National Nominees Limited	109,476	1.40
13. Invia Custodian Pty Limited	71,000	0.91
14. Mr Vernon Thomas Hauser	66,000	0.84
15. Fatofa Investments Pty Ltd	61,206	0.78
16. Evizel Pty Ltd	58,248	0.74
17. Mr Geoffrey Heeley & Mrs Dorothy Heeley	52,395	0.67
18. Cogent Nominees Pty Limited	47,999	0.61
19. Mr Ian George Mansbridge	47,562	0.61
20. Mrs Margaret Crutch	45,653	0.58

Substantial Shareholders

At 31 August 2007, substantial shareholder notices had been received from the following shareholders:

	Shares Held
• Trust Company Limited	1,052,352
• Equity Nominees Limited as nominee for Equity Trustees Limited as responsible entity for the SGH Professional Investor Smaller Companies Trust and as executor for deceased estates, manager of investment portfolios and trustee of continuing estates	806,058
• DB Management Pty Ltd and associates	493,560

Directory

Board of Directors:

J A (Tony) Killen,

Dip.All, FAICD, FAIM (Chairman, Non-executive)
Appointed Chairman 30 August 2007

Philip G Molyneux AM,

B.Econ, FCA.
Resigned 30 August 2007

Peter J Williams,

Dip.All, MAICD, FAIM. (Managing Director)

David F Groves,

B.Com, M.Com, CA, FAICD (Non-executive)

John R McConnell,

B.Com, FAICD, FAIM, F Fin (Non-executive)

Barry J Jackson,

B.Com (Hons), MAICD (Non-executive)

Alice JM Williams,

B.Com, CFA, FAICD, FCPA (Non-executive)
Appointed 5 September 2007

Company Secretary / Chief Financial Officer:

Terry Ryan,

B.Bus, CA, F Fin

Joint Company Secretary:

Philip Maddox,

LLB, BA, GDipAppFin (Finsia)

Auditor:

Deloitte Touche Tohmatsu

180 Lonsdale Street
Melbourne, Victoria 3000

Share Registry:

Computershare Investor Services Pty Ltd

Yarra Falls, 452 Johnston Street
Abbotsford, Victoria, 3067

Registered Office:

Level 2, 575 Bourke St.
Melbourne, Victoria 3000
Telephone: (03) 8623 5000
Facsimile: (03) 8623 5200
Email: equity@eqt.com.au

Equity Trustees Limited

ABN 46 004 031 298
Australian Financial Services
Licence No 240975

Notes

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Equity Trustees Limited
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Australian Financial Services
Licence No 240975

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